



**FIRST** **المطاحن**  
**MILLS** **الأولى**

# Financial Statements

|                                                                         |     |
|-------------------------------------------------------------------------|-----|
| Independent Auditor's Report                                            | 162 |
| Consolidated Statement of Financial Position                            | 166 |
| Consolidated Statement of Profit or Loss and Other Comprehensive Income | 167 |
| Consolidated Statement of Changes in Equity                             | 168 |
| Consolidated Statement of Cash Flows                                    | 170 |
| Notes to the Consolidated Financial Statements                          | 171 |

First Mills' financial performance is driven by operational efficiency, revenue stability, and a focus on delivering sustainable returns.

6





# Independent Auditor’s Report

To the Shareholders of The First Milling Company



**KPMG Professional Services Company**  
Zahran Business Center  
Prince Sultan Street  
P. O. Box 55078  
Jeddah 21534  
Kingdom of Saudi Arabia  
Commercial Registration No 4030290792

Headquarters in Riyadh

## Opinion

We have audited the consolidated financial statements of The First Milling Company (“the Company”) and its subsidiaries (“the Group”), which comprise the consolidated statement of financial position as at 31 December 2025, the consolidated statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and notes to the consolidated financial statements, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS) that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (SOCPA).

## Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), that is endorsed in the Kingdom of Saudi Arabia, as applicable to audits of the financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with the Code’s requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

## Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

# Independent Auditor’s Report

To the Shareholders of The First Milling Company

## Revenue recognition

See note 28 to the consolidated financial statements.

| The key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>During the year ended 31 December 2025, the Group recognized revenue from contract with customers of ﷲ 1,146 million (2024: ﷲ 1,049 million).</p> <p>Revenue from contract with customers is recognised at point in time when control over the goods is transferred to the customer on dispatch or delivery of the goods in accordance with applicable financial reporting framework.</p> <p>Revenue represents a significant balance in the consolidated financial statements and is one of the important measures of the Group’s operating performance. Given its size and volume of transactions, there is a risk that revenue may be misstated. Accordingly, it was considered as a key audit matter.</p> | <p>Our audit procedures performed included, among other audit procedures, the following:</p> <ul style="list-style-type: none"><li>Assessed the appropriateness of the Group’s accounting policies for revenue recognition in line with the requirements of applicable financial reporting framework;</li><li>Obtained an understanding of the Group’s revenue process and assessed the design and implementation of the key controls over the recognition of revenue;</li><li>Tested samples of sales transactions recorded during the year and inspected supporting documentation to assess whether revenue was recognized at the appropriate amounts;</li><li>Tested year-end sales cut-off on a sample basis to assess whether revenue was recognised in the correct accounting period; and</li><li>Assessed the adequacy of the revenue related disclosures in accordance with the requirements of applicable financial reporting framework included in the consolidated financial statements.</li></ul> |

## Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the consolidated financial statements and our auditor’s report thereon. The annual report is expected to be made available to us after the date of this auditor’s report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, when made available to us, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

## Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA, the applicable requirements of the Regulations for Companies and Company’s By-laws and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

# Independent Auditor’s Report

To the Shareholders of The First Milling Company

In preparing the consolidated financial statements, management is responsible for assessing the Group’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, the Board of Directors, are responsible for overseeing the Group’s financial reporting process.

## Auditor’s Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. ‘Reasonable assurance’ is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated-financial statements.

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group’s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management’s use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group’s ability to continue as a going concern. If we conclude that a material uncertainty exists, then we are required to draw attention in our auditor’s report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor’s report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

# Independent Auditor’s Report

To the Shareholders of The First Milling Company

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit of **The First Milling Company (“the Company”) and its subsidiaries (“the Group”)**.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor’s report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

## KPMG Professional Services Company



Ebrahim Oboud Baeshen  
Regional Managing Partner - Jeddah  
License No. 382

Jeddah, 16 March 2026  
Corresponding to 27 Ramadan 1447H



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Consolidated Statement of Financial Position

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

|                                                     | Notes | 31 December<br>2025  | 31 December<br>2024  |
|-----------------------------------------------------|-------|----------------------|----------------------|
| <b>Assets</b>                                       |       |                      |                      |
| Goodwill                                            | 7     | 1,138,694,626        | 1,090,669,302        |
| Property, plant and equipment                       | 9     | 820,277,260          | 682,102,483          |
| Right-of-use assets                                 | 10    | 288,097,198          | 299,543,613          |
| Intangible assets                                   | 11.1  | 11,108,663           | 9,162,686            |
| Margins against letter of guarantees - restricted   | 35    | 2,232,315            | 2,561,809            |
| Derivative financial instrument                     | 12    | --                   | 7,727,210            |
| <b>Non-current assets</b>                           |       | <b>2,260,410,062</b> | <b>2,091,767,103</b> |
| Derivative financial instrument                     | 12    | 7,928,860            | 19,422,922           |
| Inventories                                         | 13.1  | 162,899,736          | 161,698,540          |
| Trade receivables                                   | 14.1  | 40,319,907           | 18,562,782           |
| Prepayments and other current assets                | 15    | 34,070,975           | 11,535,531           |
| Cash and cash equivalents                           | 16    | 93,307,099           | 192,540,441          |
| <b>Current assets</b>                               |       | <b>338,526,577</b>   | <b>403,760,216</b>   |
| <b>Total assets</b>                                 |       | <b>2,598,936,639</b> | <b>2,495,527,319</b> |
| <b>Equity and liabilities</b>                       |       |                      |                      |
| <b>Equity</b>                                       |       |                      |                      |
| Share capital                                       | 17    | 555,000,000          | 555,000,000          |
| Treasury shares                                     | 19.5  | (25,318,388)         | (25,318,388)         |
| Shareholders' contribution                          | 18    | 6,751,214            | 6,751,214            |
| Reserves                                            | 19    | 97,954,514           | 75,406,576           |
| Retained earnings                                   |       | 433,311,387          | 333,209,421          |
| <b>Equity attributable to owners of the Company</b> |       | <b>1,067,698,727</b> | <b>945,048,823</b>   |
| Non-controlling interests                           |       | 3,613,921            | --                   |
| <b>Total equity</b>                                 |       | <b>1,071,312,648</b> | <b>945,048,823</b>   |
| <b>Liabilities</b>                                  |       |                      |                      |
| Long-term loans                                     | 22    | 778,488,902          | 848,270,768          |
| Lease liabilities                                   | 21    | 301,824,368          | 309,265,433          |
| Long-term payables                                  | 23    | 42,148,019           | 23,596,226           |
| Employees' defined benefit obligations              | 24    | 7,989,291            | 8,674,000            |
| <b>Non-current liabilities</b>                      |       | <b>1,130,450,580</b> | <b>1,189,806,427</b> |
| Trade and other payables                            |       | 73,372,341           | 60,133,757           |
| Accrued expenses and other current liabilities      | 26    | 92,614,094           | 67,460,513           |
| Current portion of long-term loans                  | 22    | 122,262,474          | 162,367,151          |
| Current portion of lease liabilities                | 21    | 25,047,877           | 30,925,951           |
| Current portion of long-term payables               | 23    | 16,413,077           | 9,536,174            |
| Short-term loan                                     | 25    | 40,000,000           | --                   |
| Advances from customers                             | 27    | 20,443,714           | 24,308,746           |
| Due to related parties                              | 37    | 85,868               | 3,134                |
| Zakat payable                                       | 34.2  | 6,933,966            | 5,936,643            |
| <b>Current liabilities</b>                          |       | <b>397,173,411</b>   | <b>360,672,069</b>   |
| <b>Total liabilities</b>                            |       | <b>1,527,623,991</b> | <b>1,550,478,496</b> |
| <b>Total equity and liabilities</b>                 |       | <b>2,598,936,639</b> | <b>2,495,527,319</b> |

The accompanying notes from 1 to 40 form an integral part of these consolidated financial statements.

  
**Tariq Mutlaq Abdullah AIMutlaq**  
Chairman

  
**Abdullah Abdul-Aziz Abdullah Ababtain**  
CEO

  
**Alaaeldin Mohammed Shousha**  
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Consolidated Statement of Profit or Loss and Other Comprehensive Income

For the year ended 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

|                                                                                                | Notes | 2025                | 2024                |
|------------------------------------------------------------------------------------------------|-------|---------------------|---------------------|
| Revenue from contracts with customers                                                          | 28    | 1,146,373,588       | 1,048,854,922       |
| Cost of revenue                                                                                | 29    | (664,170,563)       | (591,767,124)       |
| <b>Gross profit</b>                                                                            |       | <b>482,203,025</b>  | <b>457,087,798</b>  |
| General and administrative expenses                                                            | 30    | (74,969,451)        | (81,875,909)        |
| Selling and distribution expenses                                                              | 31    | (67,822,759)        | (55,565,102)        |
| Expected credit reversal/(loss) on trade receivables                                           | 14.2  | 306,187             | (314,586)           |
| Gain on disposals of property, plant and equipment                                             |       | --                  | (855,570)           |
| <b>Operating profit</b>                                                                        |       | <b>339,717,002</b>  | <b>318,476,631</b>  |
| Finance costs                                                                                  | 32    | (81,544,823)        | (96,321,172)        |
| Interest income                                                                                | 33    | 24,816,236          | 34,754,226          |
| Other income                                                                                   |       | 1,756,775           | 136,306             |
| <b>Profit before zakat</b>                                                                     |       | <b>284,745,190</b>  | <b>257,045,991</b>  |
| Zakat expense                                                                                  | 34.2  | (6,978,402)         | (6,144,269)         |
| <b>Profit for the year</b>                                                                     |       | <b>277,766,788</b>  | <b>250,901,722</b>  |
| <b>Other comprehensive (loss)/income</b>                                                       |       |                     |                     |
| <b>Items that will not be reclassified to profit or loss:</b>                                  |       |                     |                     |
| Remeasurements of defined benefit liability                                                    | 24    | 652,869             | 951,201             |
| <b>Items that are or may be reclassified subsequently to profit or loss:</b>                   |       |                     |                     |
| Cash flow hedge and cost of hedging reserve                                                    | 12    | (14,441,323)        | (12,799,977)        |
| <b>Other comprehensive loss for the year</b>                                                   |       | <b>(13,788,454)</b> | <b>(11,848,776)</b> |
| <b>Total comprehensive income for the year</b>                                                 |       | <b>263,978,334</b>  | <b>239,052,946</b>  |
| <b>Profit attributable to:</b>                                                                 |       |                     |                     |
| Owners of the Company                                                                          |       | 277,443,269         | 250,901,722         |
| Non-controlling interests                                                                      |       | 323,519             | --                  |
|                                                                                                |       | <b>277,766,788</b>  | <b>250,901,722</b>  |
| <b>Total comprehensive income attributable to:</b>                                             |       |                     |                     |
| Owners of the Company                                                                          |       | 263,654,815         | 239,052,946         |
| Non-controlling interests                                                                      |       | 323,519             | --                  |
|                                                                                                |       | <b>263,978,334</b>  | <b>239,052,946</b>  |
| <b>Earnings per share for the year attributable to shareholders of the Parent Company (ﷲ):</b> |       |                     |                     |
| Basic                                                                                          | 36.1  | <b>4.99</b>         | <b>4.53</b>         |
| Diluted                                                                                        | 36.2  | <b>4.97</b>         | <b>4.50</b>         |

The accompanying notes from 1 to 40 form an integral part of these consolidated financial statements.

  
**Tariq Mutlaq Abdullah AIMutlaq**  
Chairman

  
**Abdullah Abdul-Aziz Abdullah Ababtain**  
CEO

  
**Alaaeldin Mohammed Shousha**  
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Consolidated Statement of Changes in Equity

For the year ended 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

| Attributable to owners of the Company                |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
|------------------------------------------------------|--------------------|---------------------|----------------------------|-------------------|-------------------|------------------------------|---------------------|------------------------|---------------------|----------------------|----------------------|---------------------------|----------------------|
| Notes                                                | Share capital      | Treasury shares     | Shareholders' contribution | Statutory reserve | General reserve   | Share based payments reserve | Merger reserve      | Cashflow hedge reserve | Total reserves      | Retained earnings    | Total                | Non-controlling interests | Total equity         |
| <b>As at 1 January 2025</b>                          | <b>555,000,000</b> | <b>(25,318,388)</b> | <b>6,751,214</b>           | <b>82,823,399</b> | <b>--</b>         | <b>10,165,117</b>            | <b>(37,554,503)</b> | <b>19,972,563</b>      | <b>75,406,576</b>   | <b>333,209,421</b>   | <b>945,048,823</b>   | <b>--</b>                 | <b>945,048,823</b>   |
| <b>Total comprehensive income for the year</b>       |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
| Profit for the year                                  | --                 | --                  | --                         | --                | --                | --                           | --                  | --                     | --                  | 277,443,269          | 277,443,269          | 323,519                   | 277,766,788          |
| Other comprehensive loss for the year                | --                 | --                  | --                         | --                | --                | --                           | --                  | (14,441,323)           | (14,441,323)        | 652,869              | (13,788,454)         | --                        | (13,788,454)         |
| <b>Total comprehensive income for the year</b>       | <b>--</b>          | <b>--</b>           | <b>--</b>                  | <b>--</b>         | <b>--</b>         | <b>--</b>                    | <b>--</b>           | <b>(14,441,323)</b>    | <b>(14,441,323)</b> | <b>278,096,138</b>   | <b>263,654,815</b>   | <b>323,519</b>            | <b>263,978,334</b>   |
| <b>Transactions with owners of the Company</b>       |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
| <b>Contributions and distributions</b>               |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
| Dividends                                            | 20                 | --                  | --                         | --                | --                | --                           | --                  | --                     | --                  | (152,904,000)        | (152,904,000)        | --                        | (152,904,000)        |
| Equity-settled share-based payment                   | 19.4               | --                  | --                         | --                | --                | 11,899,089                   | --                  | --                     | 11,899,089          | --                   | 11,899,089           | --                        | 11,899,089           |
| <b>Total contributions and distributions</b>         |                    | <b>--</b>           | <b>--</b>                  | <b>--</b>         | <b>--</b>         | <b>11,899,089</b>            | <b>--</b>           | <b>--</b>              | <b>11,899,089</b>   | <b>(152,904,000)</b> | <b>(141,004,911)</b> | <b>--</b>                 | <b>(141,004,911)</b> |
| <b>Changes in ownership interests</b>                |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
| Acquisition of subsidiary with NCI                   | --                 | --                  | --                         | --                | --                | --                           | --                  | --                     | --                  | --                   | --                   | 3,290,402                 | 3,290,402            |
| <b>Total changes in ownership interests</b>          | <b>--</b>          | <b>--</b>           | <b>--</b>                  | <b>--</b>         | <b>--</b>         | <b>--</b>                    | <b>--</b>           | <b>--</b>              | <b>--</b>           | <b>--</b>            | <b>--</b>            | <b>3,290,402</b>          | <b>3,290,402</b>     |
| <b>Total transactions with owners of the Company</b> | <b>--</b>          | <b>--</b>           | <b>--</b>                  | <b>--</b>         | <b>--</b>         | <b>11,899,089</b>            | <b>--</b>           |                        | <b>11,899,089</b>   | <b>(152,904,000)</b> | <b>(141,004,911)</b> | <b>3,290,402</b>          | <b>(137,714,509)</b> |
| Transfer to general reserves                         | --                 | --                  | --                         | --                | 25,090,172        | --                           | --                  | --                     | 25,090,172          | (25,090,172)         | --                   | --                        | --                   |
| <b>As at 31 December 2025</b>                        | <b>555,000,000</b> | <b>(25,318,388)</b> | <b>6,751,214</b>           | <b>82,823,399</b> | <b>25,090,172</b> | <b>22,064,206</b>            | <b>(37,554,503)</b> | <b>5,531,240</b>       | <b>97,954,514</b>   | <b>433,311,387</b>   | <b>1,067,698,727</b> | <b>3,613,921</b>          | <b>1,071,312,648</b> |
| <b>As at 1 January 2024</b>                          | <b>555,000,000</b> | <b>--</b>           | <b>6,751,214</b>           | <b>82,823,399</b> | <b>--</b>         | <b>7,313,714</b>             | <b>(37,554,503)</b> | <b>32,772,540</b>      | <b>85,355,150</b>   | <b>245,030,498</b>   | <b>892,136,862</b>   | <b>--</b>                 | <b>892,136,862</b>   |
| <b>Total comprehensive income for the year</b>       |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
| Profit for the year                                  | --                 | --                  | --                         | --                | --                | --                           | --                  | --                     | --                  | 250,901,722          | 250,901,722          | --                        | 250,901,722          |
| Other comprehensive loss for the year                | --                 | --                  | --                         | --                | --                | --                           | --                  | (12,799,977)           | (12,799,977)        | 951,201              | (11,848,776)         | --                        | (11,848,776)         |
| <b>Total comprehensive income for the year</b>       | <b>--</b>          | <b>--</b>           | <b>--</b>                  | <b>--</b>         | <b>--</b>         | <b>--</b>                    | <b>--</b>           | <b>(12,799,977)</b>    | <b>(12,799,977)</b> | <b>251,852,923</b>   | <b>239,052,946</b>   | <b>--</b>                 | <b>239,052,946</b>   |
| <b>Transactions with owners of the Company</b>       |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
| <b>Contributions and distributions</b>               |                    |                     |                            |                   |                   |                              |                     |                        |                     |                      |                      |                           |                      |
| Dividends                                            | 20                 | --                  | --                         | --                | --                | --                           | --                  | --                     | --                  | (163,674,000)        | (163,674,000)        | --                        | (163,674,000)        |
| Purchase of treasury shares                          | 19.5               | --                  | (25,318,388)               | --                | --                | --                           | --                  | --                     | --                  | --                   | (25,318,388)         | --                        | (25,318,388)         |
| Equity-settled share-based payment                   | --                 | --                  | --                         | --                | --                | 2,851,403                    | --                  | --                     | 2,851,403           | --                   | 2,851,403            | --                        | 2,851,403            |
| <b>Total transactions with owners of the Company</b> | <b>--</b>          | <b>(25,318,388)</b> | <b>--</b>                  | <b>--</b>         | <b>--</b>         | <b>2,851,403</b>             | <b>--</b>           | <b>--</b>              | <b>2,851,403</b>    | <b>(163,674,000)</b> | <b>(186,140,985)</b> | <b>--</b>                 | <b>(186,140,985)</b> |
| <b>As at 31 December 2024</b>                        | <b>555,000,000</b> | <b>(25,318,388)</b> | <b>6,751,214</b>           | <b>82,823,399</b> | <b>--</b>         | <b>10,165,117</b>            | <b>(37,554,503)</b> | <b>19,972,563</b>      | <b>75,406,576</b>   | <b>333,209,421</b>   | <b>945,048,823</b>   | <b>--</b>                 | <b>945,048,823</b>   |

The accompanying notes from 1 to 40 form an integral part of these consolidated financial statements.

  
**Tariq Mutlaq Abdullah AIMutlaq**  
Chairman

  
**Abdullah Abdul-Aziz Abdullah Ababtain**  
CEO

  
**Alaaeldin Mohammed Shousha**  
CFO



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Consolidated Statement of Cash Flows

For the year ended 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

|                                                                | Notes     | 2025                 | 2024                 |
|----------------------------------------------------------------|-----------|----------------------|----------------------|
| <b>Cash flows from operating activities</b>                    |           |                      |                      |
| Profit before zakat                                            |           | 284,745,190          | 257,045,991          |
| <b>Adjustments:</b>                                            |           |                      |                      |
| Depreciation of property, plant and equipment                  | 9.3       | 45,316,360           | 39,068,526           |
| Depreciation of right-of-use assets                            | 10.1      | 15,895,333           | 15,931,835           |
| Amortisation of intangible assets                              | 11.2      | 1,237,037            | 763,621              |
| Finance cost on lease liabilities                              | 32        | 13,750,360           | 13,482,184           |
| Interest on loans                                              | 32        | 51,764,710           | 73,070,444           |
| Interest income                                                | 33        | (24,816,236)         | (34,754,226)         |
| Amortisation of loan transaction cost                          | 32        | 8,493,046            | 3,777,174            |
| Finance cost on long-term payable                              | 32        | 2,172,757            | 2,773,724            |
| Adjustment for net realizable value for inventories            | 13.3      | (2,578,484)          | (2,571,638)          |
| Finance cost on employees' defined benefit obligations         | 32        | 584,000              | 461,000              |
| Provision for employees' defined benefit obligations           | 24        | (410,009)            | 3,478,000            |
| Employees' share based payments plan expense                   | 19.4      | 11,899,089           | 2,851,403            |
| Expected credit (reversal)/loss on trade receivables           | 14.2      | (306,187)            | 314,586              |
| Amortisation of cost of hedging                                | 32        | 4,779,950            | 2,756,736            |
| Exchange loss on long-term payable                             |           | --                   | 622,696              |
| Loss on disposal of property, plant and equipment              |           | --                   | 855,570              |
| Loss on termination of lease liability                         |           | --                   | 6,802                |
|                                                                |           | <b>412,526,916</b>   | <b>379,934,428</b>   |
| <b>Changes in working capital:</b>                             |           |                      |                      |
| Inventories                                                    |           | 2,519,508            | (10,778,579)         |
| Trade receivables                                              |           | (13,051,061)         | (13,797,828)         |
| Prepayments and other current assets                           |           | (22,192,901)         | (2,229,529)          |
| Trade and other payables                                       |           | (1,050,221)          | 11,208,325           |
| Accrued expenses and other current liabilities                 |           | 24,654,213           | 12,498,737           |
| Advances from customers                                        |           | (3,865,032)          | 5,532,241            |
| Due to related parties                                         |           | (8,388,452)          | (683,006)            |
| <b>Cash generated from operating activities</b>                |           | <b>391,152,970</b>   | <b>381,684,789</b>   |
| Employees' defined benefit obligations paid                    | 24        | (833,131)            | (865,799)            |
| Interest paid                                                  |           | (66,866,090)         | (102,911,427)        |
| Interest received                                              |           | 24,816,236           | 34,890,038           |
| Zakat paid                                                     | 34.2      | (6,172,426)          | (6,862,509)          |
| Net cash from operating activities                             |           | 342,097,559          | 305,935,092          |
| <b>Cash flows from investing activities</b>                    |           |                      |                      |
| Additions to property, plant and equipment                     |           | (81,919,290)         | (53,585,113)         |
| Additions to intangible assets                                 | 11.1      | (3,183,014)          | (3,795,986)          |
| Proceeds from disposal of property, plant and equipment        |           | --                   | 1,267,148            |
| Acquisition of subsidiaries                                    |           | (99,071,474)         | --                   |
| <b>Net cash used in investing activities</b>                   |           | <b>(184,173,778)</b> | <b>(56,113,951)</b>  |
| <b>Cash flows from financing activities</b>                    |           |                      |                      |
| Dividends paid                                                 | 20        | (152,904,000)        | (163,673,904)        |
| Purchase of treasury shares                                    | 19.5      | --                   | (25,318,388)         |
| Proceeds from long-term loans                                  |           | 49,050,000           | 144,450,000          |
| Proceeds from short-term loan                                  |           | 120,000,000          | --                   |
| Repayment of long-term loans                                   | 22        | (167,697,206)        | (181,697,715)        |
| Repayment of short-term loan                                   |           | (80,000,000)         | --                   |
| Repayment of lease liabilities                                 | 21.3      | (18,377,536)         | (13,545,414)         |
| Payment of long-term liabilities                               |           | (8,314,122)          | (9,601,562)          |
| <b>Net cash used in financing activities</b>                   |           | <b>(258,242,864)</b> | <b>(249,386,983)</b> |
| <b>Net change in cash and cash equivalents during the year</b> |           | <b>(100,319,083)</b> | <b>434,158</b>       |
| Cash and cash equivalents as at the beginning of the year      | 16        | 192,540,441          | 192,106,283          |
| Effect of movement in exchange rate on cash held               |           | 1,085,741            | --                   |
| <b>Cash and cash equivalents at the end of the year</b>        | <b>16</b> | <b>93,307,099</b>    | <b>192,540,441</b>   |

The accompanying notes from 1 to 40 form an integral part of these financial statements.

  
**Tariq Mutlaq Abdullah AIMutlaq**  
Chairman

  
**Abdullah Abdul-Aziz Abdullah Ababtain**  
CEO

  
**Alaaeldin Mohammed Shousha**  
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

## 1. COMPANY INFORMATION

The First Milling Company (the “Company” or the “Parent Company”) is a Saudi Joint Stock Company incorporated in the Kingdom of Saudi Arabia under unified number 7003698904 and commercial registration number 4030291813 dated 10 November 2016 (corresponding to 10 Safar 1438H).

The Company was established as part of the Kingdom’s flour milling privatization program and was fully acquired by Al Raha Al Safi Food Company on 31 December 2020 (corresponding to 16 Jumada Al Awal 1442H). The Company was listed on the Saudi Exchange (Tadawul) on 22 June 2023 (corresponding to 4 Dhul Hijjah 1444H).

The Company is principally engaged in flour production and related wheat products, feed and bran within the Kingdom of Saudi Arabia. Selling prices for certain flour products (45kg and above) are regulated by General Food Security Authority (“GFSA”).

As at 31 December, the Company holds investments in subsidiaries as disclosed in Note 8.

The registered address of the Company is as follows:

Jeddah Islamic Port  
Between Gates 7 and 8  
Jeddah 22312  
Kingdom of Saudi Arabia

The Company is the ultimate controlling party of the Group. As at 31 December 2025, the Company has an investment in the following subsidiaries:

| Subsidiary name                     | Country of incorporation | Principal business activity | Effective ownership interest (%) |                  |
|-------------------------------------|--------------------------|-----------------------------|----------------------------------|------------------|
|                                     |                          |                             | 31 December 2025                 | 31 December 2024 |
| First Food Supplies Company Limited | Saudi Arabia             | Distribution                | 100                              | 100              |
| Al-Manar Feed Company Limited       | Saudi Arabia             | Feed Production             | 100                              | --               |
| Al-Kenan Arabia Trading Company     | Saudi Arabia             | Distribution                | 60                               | --               |

These accompanying consolidated financial statements comprise the financial statements of The First Milling Company (the “Company” (or) the “Parent Company”) and its subsidiaries (collectively referred to as the “Group”).

The Group operates through four branches, which are as follows:

| Branch Location | Date                                                      | Commercial Registration No. |
|-----------------|-----------------------------------------------------------|-----------------------------|
| Jeddah          | 28 March 2017 (corresponding to 29 Jumada Al Thani 1438H) | 4030294014                  |
| Qassim          | 28 March 2017 (corresponding to 29 Jumada Al Thani 1438H) | 1131057624                  |
| Al Ahsa         | 28 March 2017 (corresponding to 29 Jumada Al Thani 1438H) | 2250067938                  |
| Tabuk           | 28 March 2017 (corresponding to 29 Jumada Al Thani 1438H) | 3550038652                  |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

## 2. BASIS OF PREPARATION

### 2.1 Statement of compliance

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards as issued by the International Accounting Standards Board (“IFRS”) that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and professional Accountants (“SOCPA”) collectively referred to as “IFRS as endorsed in the Kingdom of Saudi Arabia”.

### 2.2 Basis of measurement

These consolidated financial statements have been prepared using accrual basis of accounting, going concern concept and under the historical cost basis, except employees’ defined benefit obligations which are recognised at the present value of future obligation using the Projected Unit Credit Method and derivative financial instrument which are recognised at fair value through other comprehensive income.

### 2.3 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at and for the year ended 31 December 2025. All subsidiaries have the same reporting date as the Parent Company, being 31 December. The financial statements of the subsidiaries are prepared for the same reporting period as the Company using consistent accounting policies. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Group’s voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary. Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent company and to the non-controlling interests. All intra-group assets and liabilities, equity, income and expenses relating to transactions between members of the Group are eliminated in full on consolidation. A change in ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

- Derecognises the assets (including goodwill) and liabilities of the subsidiary;
- Derecognises the carrying amount of any non-controlling interest;
- Derecognises the cumulative translation differences recorded in equity;
- Recognises the fair value of consideration received;
- Recognises the fair value of any investment retained;
- Recognises any surplus or deficit in profit or loss; and
- Reclassifies the parent’s share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

### 2.4 Functional and presentation currency

These consolidated financial statements are presented in Saudi Arabian Riyals (ﷲ) which is the functional and presentation currency of the Group. All amounts have been rounded to the nearest ﷲ, unless otherwise stated.

## 3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of Group’s consolidated financial statements require management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of revenues, expenses, assets, liabilities and accompanying disclosures. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

### Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

### 3.1 Useful lives and residual value of property, plant and equipment

The Group’s management determines the estimated useful lives of its property, plant and equipment with finite useful lives for calculating depreciation. This estimate is determined after considering the expected usage of the assets or physical wear and tear. Management reviews the residual value, depreciation methods and useful lives annually and future depreciation charges would be adjusted where the management believes the useful lives differ from previous estimates and to ensure that the methods and period of depreciation are consistent with the expected pattern of economic benefits from these assets.

### 3.2 Determining lease term for leases with termination option - Group as lessee

The Group determines the term of the lease as non-cancellable periods plus any period covered by a renewable option if the Group is reasonably certain to exercise that option.

The Group has several lease contracts that include termination options. The Group decides through its evaluation of the lease whether it is reasonable to exercise the option to terminate the lease. This means that the Group considers all relevant factors that constitute an economic incentive to exercise the option to terminate the lease. After the lease commencement date, the Group reassesses the lease term if there is an event or change in circumstances within the Group’s control that affects the Group’s ability to exercise the option to terminate (such as: making material improvements to the lease or a material restructuring of the lease).

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

3.3 Adjustment for net realizable value of inventories

The management makes an adjustment for net realizable value (NRV) of inventories. Estimates of net realizable value of inventories are based on the most reliable evidence at the time the estimates are made. These estimates take into consideration fluctuations of price or cost directly related to events occurring subsequent to the financial position date to the extent that such events confirm conditions existing at the end of year.

Adjustment for net realizable value of spare parts inventories is made on the basis of the NRV adjustments of the relevant finished goods. Spare parts that are in excess of the Group’s use are written down to their estimated scrap values determined on the basis of the market quotations. The identification of excess spare parts and estimates of their scrap value are based upon historical experience, expected inventory turnover, current condition, and future expectations with respect to its consumption and are reviewed at each reporting date.

3.4 Defined benefit plans

The cost of the employees’ defined benefit obligations and the present value of the employees’ defined benefit obligations are determined based on the Projected Unit Credit Method as defined under IAS-19 “Employee Benefits” using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation and its long term nature, employees’ defined benefit obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

3.5 Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm’s length, for similar assets or observable market prices less incremental costs of disposing of the asset. The value in use calculation is based on discounted cash flow (DCF) model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the performance of the assets of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

3.6 Determination of discount rate for present value calculations

Discount rates represent the current market assessment of the risks specific to each cash flow stream, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Group and is derived from recent market transactions and a market yields overview.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

4. MATERIAL ACCOUNTING POLICIES

The Group has consistently applied the following accounting policies to all periods presented in these financial statements, except if mentioned otherwise.

4.1 Property, plant and equipment

Property, plant and equipment are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing part of the plant and equipment. When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in consolidated statement of profit or loss and other comprehensive income as incurred. The present value of the expected cost for the decommissioning (if any) of an asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

Depreciation is calculated on a straight-line basis over the estimated useful lives of the assets. The estimated useful lives of the assets for the calculation of depreciation are as follows:

| Categories          | Useful lives                                             | Categories             | Useful lives    |
|---------------------|----------------------------------------------------------|------------------------|-----------------|
| Buildings           | Shorter of the useful life and lease term (5 - 25 years) | Furniture and fittings | 6.67 - 10 years |
| Plant and machinery | 10 - 25 years                                            | Computer equipment     | 3 - 4 years     |
| Motor vehicles      | 5 years                                                  |                        |                 |

The depreciation of plant is calculated on the useful lives of the components of the principal asset.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the consolidated statement of profit or loss and other comprehensive income as gain or loss on disposal of property, plant and equipment as a part of the operating profit when the asset is derecognised.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Projects under construction are not depreciated and are stated at cost less accumulated impairment losses, if any, and are classified under “Project under progress”. These assets are transferred to property, plant and equipment as and when assets are available for intended use.



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

## 4.2 Leases

### 4.2.1 Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any re-measurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term. Right-of-use assets are subject to impairment.

### 4.2.2 Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognized as expense in the year on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is re-measured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

## 4.3 Goodwill

Goodwill represents the difference between the cost of businesses acquired and the Group's share in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities at the date of acquisition. Goodwill arising on acquisitions is reviewed for impairment annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. Impairment losses on goodwill are not reversed. Goodwill is assessed for impairment at CGU level.

For impairment testing, goodwill acquired through business combination is allocated to four CGUs, which are also the Group's operating and reportable segment

## 4.4 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

### 4.4.1 Financial Assets

The Group's financial assets comprise of cash and cash equivalents, trade receivables, margins against letter of guarantees and other current financial assets.

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. The Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

On initial recognition, a financial asset is classified as measured at:

- Amortized cost;
- Fair value through other comprehensive income (FVOCI) – debt instruments;
- Fair value through other comprehensive income (FVOCI) – equity instruments; or
- Fair value through profit or loss (FVTPL)

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Group changes its business model for managing financial assets.

### Cash and cash equivalents

Cash and cash equivalents comprise cash at banks, cash in hand and short-term deposits with a maturity of 90 days and are subject to an insignificant risk of changes in value.

For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash at banks, cash in hand and short-term deposits, as defined above, net of outstanding bank overdrafts, if any, as they are considered an integral part of the Group's cash management.

### Trade receivables and other current financial assets

Trade receivables and other current financial assets are measured at amortized cost.

### 4.4.2 Financial liabilities

Financial liabilities are classified as measured at amortized cost or financial liabilities at fair value through profit or loss FVTPL. A financial liability is classified as at FVTPL if it is classified as held for trading, or it is a derivative or it is designated as such on initial recognition. Financial liabilities are classified as "held for trading" if they are acquired for the purpose of selling in the near future. This category includes derivative financial instruments entered by the Group that are not designated as hedging instruments as stated in IFRS 9. Other financial liabilities are measured at amortized cost using the effective interest method.

The Group's financial liabilities include trade and other payables, certain accrued expenses and other current liabilities, long-term payables, loans, lease liabilities and amounts due to related parties. At 31 December 2025, all of the Group's financial liabilities are classified at amortised cost.

### Loans

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate (EIR) method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the consolidated statement of profit or loss and other comprehensive income.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

### 4.5 Derivative financial instrument and hedge accounting

Derivative financial instrument include profit rate cap that is measured at fair value. For the purpose of hedge accounting, this hedging instrument is classified and designated as cash flow hedge.

Fair value is obtained by reference to quoted market prices and/or valuation models as appropriate.

### Hedge accounting

The Group designates certain derivatives as hedging instruments in qualifying hedging relationships to manage exposures to interest rate risk, including exposures arising from highly probable forecast transactions and firm commitments. In order to manage particular risk, the Group applies hedge accounting for transactions that meet specific criteria. The Group is applying the hedge accounting as per the requirements of IFRS 9 for its derivatives.

In order to qualify for hedge accounting, the hedge should be expected to be “highly effective”, i.e., the changes in fair value or cash flows of the hedging instrument should effectively offset corresponding changes in the hedged item and should be reliably measurable. At inception of the hedge, the risk management objective and strategy are documented including the identification of the hedging instrument, the related hedged item, the nature of risk being hedged, and how the Group will assess the effectiveness of the hedging relationship. Subsequently, the hedge is required to be assessed and determined to be an effective hedge on an ongoing basis.

A formal assessment is undertaken by comparing the hedging instrument’s effectiveness in offsetting the changes in fair value or cash flows attributable to the hedged risk in the hedged item, both at inception and at each reporting date.

A hedge is expected to be highly effective if the changes in fair value or cash flows attributable to the hedged risk during the period for which the hedge is designated were offset by the hedging instrument and were expected to achieve such offset in future periods. Hedge ineffectiveness is recognised in the profit or loss. For situations where the hedged item is a forecast transaction, the Group also assesses whether the transaction is highly probable and presents an exposure to variations in cash flows that could ultimately affect the consolidated statement of profit or loss and other comprehensive income.

### Cash flow hedges

In relation to cash flow hedges which meet the criteria for hedge accounting, the portion of the gain or loss on the hedging instrument that is determined to be an effective hedge is recognised initially in cash flow hedge reserves under equity through other comprehensive income and the ineffective portion, if any, is recognised in the profit or loss. For cash flow hedges affecting future transactions, the gains or losses recognised in cash flow hedge reserve, are transferred to the profit or loss in the same period in which the hedged transaction affects the profit or loss. However, if the Group expects that all or a portion of a loss recognised in other comprehensive income will not be recovered in one or more future periods, it shall reclassify into the profit or loss as a reclassification adjustment the amount that is not to be recognised.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

Hedge accounting is discontinued when the hedging instrument is expired or sold, terminated or exercised, or no longer qualifies for hedge accounting, or the forecast transaction is no longer expected to occur or the Group revokes the designation then hedge accounting is discontinued prospectively. At that point of time, any cumulative gain or loss on the cash flow hedging instrument that was recognised in cash flow hedge reserve from the period when the hedge was effective is transferred from equity to the profit or loss when the forecasted transaction occurs.

Where the hedged forecasted transaction is no longer expected to occur and affect the profit or loss, the net cumulative gain or loss recognised in cash flow hedge reserve is transferred immediately to the profit or loss.

### 4.6 Inventories

Inventories are stated at cost or net realizable value, whichever is lower. Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Adjustment for net realizable value of spare parts inventories is made on the basis of the NRV adjustments of the relevant finished goods. Spare parts that are in excess of the Group’s use are written down to their estimated scrap values determined on the basis of the market quotations. The identification of excess spare parts and estimates of their scrap value are based upon historical experience, expected inventory turnover, current condition, and future expectations with respect to its consumption and are reviewed at each reporting date.

The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, shall be recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

### 4.7 Employees’ defined benefit obligations

#### Defined benefit plans

The Group has defined benefit plans with General Organization for Social Insurance “GOSI” where the Group and the employees contribute fixed percentage of their salary toward the retirement of its employees. The Group operates defined benefit plans, under the Saudi Arabian Labor Law based on employees’ accumulated periods of service at the consolidated statement of financial position date.

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method.

Re-measurements, comprising of actuarial gains and losses, the effect of the asset ceiling (excluding amounts included in net interest on the net defined benefit liability) and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognized immediately in the consolidated statement of financial position with a corresponding debit or credit to retained earnings through OCI in the year end in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

Past service costs are recognized in income at the earlier of:

- The date of the plan amendment or curtailment; and
- The date on which the Group recognizes related restructuring costs.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The Group recognizes the changes in the net defined benefit obligation for service costs that comprises current service costs, past-service costs, gains and losses on curtailments and non-routine settlements under “general and administrative expenses” and for net interest expense or income under “finance costs” in the consolidated statement of profit or loss and other comprehensive income.

## Share based payments plan

The Group maintains an equity-settled share based payments plan for its key management. The grant-date fair value of such share based payments arrangement granted to employees is recognised as an expense, with a corresponding increase in equity, over the vesting period of the awards. The amount recognised as an expense is adjusted to reflect the number of awards for which the related service and non-market performance conditions are expected to be met, such that the amount ultimately recognised is based on the number of awards that meet the related service and non-market performance conditions at the vesting date.

The Group acquired its own shares in connection with the anticipated grant of shares to the key management in future. Until such time as the beneficial ownership of such shares in the Group passes to the employees, the unallocated / non-vested shares will be treated as treasury shares.

## 4.8 Treasury shares

Own equity instruments that are reacquired (treasury shares), with the aim of allocating to the Group’s employees within the employee share programs, are recognized at cost and presented as a deduction from equity. No gain or loss is recognized in the consolidated statement of profit or loss and other comprehensive income on the purchase of the Group’s own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in retained earnings.

## 4.9 Impairment of non-financial assets

The Group assesses at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset’s recoverable amount. An asset’s recoverable amount is the higher of an assets or CGU’s fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-zakat discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

Impairment losses of continuing operations are recognised in the consolidated statement of profit or loss and other comprehensive income in expense categories consistent with the function of the impaired asset.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

For assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Group estimates the asset’s or CGU’s recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset’s recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the consolidated statement of profit or loss and other comprehensive income unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

## 4.10 Revenue from contracts with customers

The Group is involved in manufacturing of flour, feed, bran (by-product) and other related products.

Under IFRS 15 Revenue from Contracts with Customers, the Group recognises revenue when (or as) a performance obligation is satisfied, i.e. when ‘control’ of the goods or services underlying the particular performance obligation is transferred to the customer.

Revenue is measured at the transaction price, being the amount of consideration to which the Group expects to be entitled in exchange for transferring the promised goods, excluding amounts collected on behalf of third parties.

Revenue from the sale of goods is recognised at a point in time, based on the terms of the contract with the customer. Control is generally transferred either upon dispatch of the goods from the Group’s warehouse depending on the agreed shipping terms.

The Group has concluded that it acts as principal in its revenue arrangements, as it controls the goods before transfer to the customer and is primarily responsible for fulfilling the promise to provide the goods.

Variable consideration mainly includes discounts and rebates granted to customers. The Group estimates its provision for discounts and rebates based on current contractual terms and conditions as well as historical experience, changes to business practices and credit terms. The Group continually monitors the provisions for discounts and rebates and makes adjustments when it believes that actual discounts may differ from established reserves. All discounts are recognised in the period in which the underlying sales are recognised as a reduction of revenue.

## 4.11 Zakat

Zakat provision is calculated and recorded based on the zakat base according to the regulations of the Zakat, Tax and Customs Authority (“ZATCA “). The expense relating to a provision is charged to the consolidated statement of profit or loss and other comprehensive income.

## 4.12 Operating profit

Operating profit is the result generated from the continuing principal revenue producing activities of the Group as well as other income and expenses related to operating activities. Operating profit excludes finance costs, finance income and zakat expense.



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

4.13 Selling, distribution, general and administrative expenses

Selling, distribution, general and administrative expenses include direct and indirect costs not specifically part of cost of revenue. Allocations between cost of revenue, selling and distribution, and general and administrative expenses, when required, are made on a consistent basis.

4.14 Finance costs

Finance costs comprise of interest on loans, amortisation of loan transaction cost, finance cost on lease liabilities, interest cost on employees’ defined benefit obligations, ineffective portion of changes in fair value of cash flow hedge, amortization of cost of cash flow hedge reserve and financing charges as and when incurred by the Group.

5. NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS

5.1 Standards, interpretations and amendments adopted

Several amendments and interpretations apply for the first time in 2025, which are effective for annual periods beginning on or after 1 January 2025 which do not have a material effect on these consolidated financial statements.

| Standards / Interpretations and amendments | Description                                    | Effective from periods beginning on or after the following date |
|--------------------------------------------|------------------------------------------------|-----------------------------------------------------------------|
| IAS 21                                     | Lack of Exchangeability (Amendments to IAS 21) | 1 January 2025                                                  |

5.2 Standards, interpretations and amendments issued but not yet effective

The standards, interpretations and amendments issued, but not yet effective up to the date of issuance of the consolidated financial statements are disclosed below. The Group intends to adopt these standards, where applicable, when they become effective.

The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

| Standards / Interpretations and amendments | Description                                                                                                           | Effective from periods beginning on or after the following date        |
|--------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| IFRS 9 and IFRS 7                          | Classification and measurement of financial instruments – disclosures (amendments to IFRS 9 and IFRS 7)               | 1 January 2026                                                         |
| IFRS 9 and IFRS 7                          | Contracts referencing nature-dependent electricity (amendments to IFRS 9 and IFRS 7)                                  | 1 January 2026                                                         |
| Volume 11                                  | Annual improvements to IFRS accounting standards                                                                      | 1 January 2026                                                         |
| IFRS 18                                    | Presentation and disclosure in financial statements                                                                   | 1 January 2027                                                         |
| IFRS 19                                    | Subsidiaries without public accountability - disclosures                                                              | 1 January 2027                                                         |
| IFRS 10 and IAS 28                         | Sale or contribution of assets between investor and its associate or joint venture (amendments to IFRS 10 and IAS 28) | Available for optional adoption / effective date deferred indefinitely |

The Group is currently assessing the implications for other above- mentioned standards, interpretations and amendments on the Group’s consolidated financial statements on adoption.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

6. SEGMENT INFORMATION

The Group operates in four regions in the Kingdom of Saudi Arabia, which are its reportable segments. These regions are identified as a separate reportable segment because the Group managed them separately.

The management has identified these business units based on their geographical locations. The following summary describes the operations of each reportable segment.

| Reportable segments | Operations                         |
|---------------------|------------------------------------|
| Jeddah              | Production of flour, feed and bran |
| Qassim              | Production of flour, feed and bran |
| Tabuk               | Production of flour and bran       |
| Al Ahsa             | Production of flour and bran       |

The management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on income and is measured consistently in the financial statements.

Transfer prices between operating segments are on cost and any transmission and distribution costs are recovered from the segments in a manner similar to transactions with third parties.

The Group’s executive committee of the Board of Directors reviews the internal management reports for each segment at least quarterly.

The selected financial information for these business units is set out below. All unallocated amounts are related to the head office and are not allocatable to the operating segments. Segment profit before zakat is used to measure performance because management believes that this information is the most relevant in evaluating the results of the respective segments relative to other entities that operate in the same industries.

| For the year ended 31 December 2025 | Jeddah        | Qassim        | Tabuk        | Al Ahsa      | Total segments |
|-------------------------------------|---------------|---------------|--------------|--------------|----------------|
| Total revenue                       | 532,436,868   | 364,040,301   | 125,724,244  | 124,172,175  | 1,146,373,588  |
| Cost of inventories                 | (215,641,735) | (180,939,154) | (44,257,866) | (41,893,742) | (482,732,497)  |
| Salaries and other benefits         | (31,340,849)  | (20,162,864)  | (11,561,379) | (11,953,736) | (75,018,828)   |
| Depreciation and amortization       | (31,661,267)  | (6,050,292)   | (5,808,646)  | (15,851,115) | (59,371,320)   |
| Other expenses                      | (43,857,794)  | (25,293,217)  | (12,720,807) | (11,969,408) | (93,841,226)   |
| Finance costs                       | (8,139,776)   | (1,886,298)   | (127,053)    | (1,692,438)  | (11,845,565)   |
| Segment profit                      | 201,795,447   | 129,708,476   | 51,248,493   | 40,811,736   | 423,564,152    |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

| For the year ended<br>31 December 2024               | Jeddah             | Qassim             | Tabuk             | Al Ahsa           | Total<br>segments  |
|------------------------------------------------------|--------------------|--------------------|-------------------|-------------------|--------------------|
| Total revenue                                        | 472,406,954        | 329,599,798        | 117,850,617       | 128,997,553       | 1,048,854,922      |
| Cost of inventories                                  | (185,975,814)      | (153,539,920)      | (39,575,772)      | (42,970,959)      | (422,062,465)      |
| Salaries and other benefits                          | (30,425,437)       | (16,670,643)       | (12,932,711)      | (13,363,720)      | (73,392,511)       |
| Depreciation and amortization                        | (25,508,370)       | (5,793,526)        | (5,878,610)       | (15,979,858)      | (53,160,364)       |
| Other expenses                                       | (37,701,507)       | (22,700,145)       | (10,632,595)      | (10,631,234)      | (81,665,481)       |
| Finance costs                                        | (9,611,126)        | (1,947,430)        | (131,102)         | (1,752,385)       | (13,442,043)       |
| Loss on disposal of property, plant and<br>equipment | (847,675)          | --                 | --                | (7,895)           | (855,570)          |
| <b>Segment profit</b>                                | <b>182,337,025</b> | <b>128,948,134</b> | <b>48,699,827</b> | <b>44,291,502</b> | <b>404,276,488</b> |

| At 31 December 2025                                       | Jeddah      | Qassim      | Tabuk       | Al Ahsa     | Total<br>segments |
|-----------------------------------------------------------|-------------|-------------|-------------|-------------|-------------------|
| Total assets                                              | 683,380,514 | 252,624,362 | 114,764,263 | 262,169,239 | 1,312,938,378     |
| Total liabilities                                         | 298,981,044 | 162,140,771 | 16,657,835  | 57,411,494  | 535,191,144       |
| <b>Other disclosures:</b>                                 |             |             |             |             |                   |
| Property, plant and equipment with<br>right-of-use assets | 556,197,030 | 161,800,907 | 99,813,577  | 253,539,088 | 1,071,350,602     |
| Inventories                                               | 99,785,065  | 40,706,505  | 11,313,186  | 11,094,980  | 162,899,736       |
| Intangible assets                                         | 459,425     | 794,705     | --          | --          | 1,254,130         |

| At 31 December 2024                                       | Jeddah      | Qassim      | Tabuk       | Al Ahsa     | Total<br>Segments |
|-----------------------------------------------------------|-------------|-------------|-------------|-------------|-------------------|
| Total assets                                              | 598,545,350 | 164,572,300 | 123,495,995 | 282,505,336 | 1,169,118,981     |
| Total liabilities                                         | 349,356,190 | 92,019,947  | 21,339,831  | 72,678,704  | 535,394,672       |
| <b>Other disclosures:</b>                                 |             |             |             |             |                   |
| Property, plant and equipment with<br>right-of-use assets | 493,071,177 | 99,241,375  | 105,835,431 | 267,902,411 | 966,050,394       |
| Inventories                                               | 81,720,832  | 54,441,270  | 12,734,472  | 12,801,966  | 161,698,540       |
| Intangible assets                                         | 3,948       | 919,964     | 3,048       | 255         | 927,215           |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### 6.1 Reconciliations of information on reportable segments to the amounts reported in the consolidated financial statements

#### Profit before zakat

|                                                      | 31 December<br>2025 | 31 December<br>2024 |
|------------------------------------------------------|---------------------|---------------------|
| Total profit before zakat for reportable segments    | 423,564,152         | 404,276,488         |
| <b>Unallocated amounts</b>                           |                     |                     |
| Salaries and other benefits                          | (58,339,104)        | (58,849,864)        |
| Depreciation and amortization                        | (3,077,410)         | (2,603,618)         |
| Other expenses                                       | (34,582,388)        | (37,473,832)        |
| Finance costs                                        | (69,699,258)        | (82,879,129)        |
| Other income                                         | 1,756,775           | 136,306             |
| Interest income                                      | 24,816,236          | 34,754,226          |
| Expected credit reversal/(loss) on trade receivables | 306,187             | (314,586)           |
|                                                      | <b>284,745,190</b>  | <b>257,045,991</b>  |

#### i) Total assets

|                                      | 31 December<br>2025  | 31 December<br>2024  |
|--------------------------------------|----------------------|----------------------|
| Total assets for reportable segments | 1,312,938,378        | 1,169,118,981        |
| Unallocated amounts                  | 1,285,998,261        | 1,326,408,338        |
|                                      | <b>2,598,936,639</b> | <b>2,495,527,319</b> |

#### ii) Total liabilities

|                                           | 31 December<br>2025  | 31 December<br>2024  |
|-------------------------------------------|----------------------|----------------------|
| Total liabilities for reportable segments | 535,191,144          | 535,394,672          |
| Unallocated amounts                       | 992,432,847          | 1,015,083,824        |
|                                           | <b>1,527,623,991</b> | <b>1,550,478,496</b> |

All revenue is generated from external customers. Revenue from one customer of the Group's Jeddah and Qassim segments represented approximately ﷲ 264.13 million (2024: ﷲ 188.14 million) which represents 23.04% (2024: 17.93%) of the Group's total revenues.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

7. GOODWILL

7.1 The movement in goodwill is as follows:

|                              | Notes | 31 December<br>2025 | 31 December<br>2024 |
|------------------------------|-------|---------------------|---------------------|
| At the beginning of the year |       | 1,090,669,302       | 1,090,669,302       |
| Acquisitions during the year | 8     | 48,025,324          | --                  |
| At end of the year           |       | 1,138,694,626       | 1,090,669,302       |

Pursuant to privatization programme by the GFSA, the Former Parent Company entered into an agreement with NCP and Public-Private Partnership (PPP) on 17 September 2020 (corresponding to 29 Muharram 1442H) to acquire 100% equity stake in the Company. The transaction was completed by 31 December 2020 (corresponding to 16 Jumada Al-Awwal 1442H).

The Former Parent Company paid a consideration of ﷲ 2,198 million to acquire the Company with book value of net assets of ﷲ 1,081 million. The Former Parent Company completed the purchase price allocation (“PPA”) to net assets within a measurement period of one year after the date of acquisition in which the Former Parent Company identify and measure the identifiable assets and liabilities assumed as of the acquisition date in accordance with the requirements of IFRS 3 Business Combination. The following adjustment was recorded by the Former Parent Company:

- Net uplift of ﷲ 22.4 million to property, plant and equipment; and
- Uplift of ﷲ 4.54 million to spare parts under inventories.

Break-up of net assets of the Company at the time of acquisition was as follows:

|                                                        | ﷲ             |
|--------------------------------------------------------|---------------|
| Property, plant and equipment with right of use assets | 830,433,309   |
| Intangible assets                                      | 285,860       |
| Inventories                                            | 118,803,883   |
| Trade receivables                                      | 20,292        |
| Prepayments and other current assets                   | 13,319,205    |
| Bank balances                                          | 518,754,365   |
| Lease liabilities – non-current liabilities            | (321,815,636) |
| Employees’ defined benefit obligations                 | (772,931)     |
| Trade payables and other current liabilities           | (49,647,333)  |
| Lease liabilities – current liabilities                | (9,767,397)   |
| Advances from customers                                | (18,362,771)  |
|                                                        | 1,081,250,846 |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

For impairment testing, goodwill acquired through business combination is allocated to four CGUs, which are also the Group’s operating and reportable segments. The amount of goodwill allocated to each CGU is as follows:

|         | Amount (in ﷲ) |
|---------|---------------|
| Jeddah  | 544,889,445   |
| Qassim  | 338,689,341   |
| Tabuk   | 88,155,123    |
| Al-Ahsa | 118,935,393   |
|         | 1,090,669,302 |

The Group has performed its impairment test for goodwill on 31 December 2025 and 31 December 2024. The Group considers the relationship between its market capitalisation and its book value, among other factors, when reviewing for indicators of impairment. As of 31 December 2025, the market capitalisation of the Group is above book value of its equity.

The recoverable amount of the CGUs is ﷲ 3,357.36 million for Jeddah, ﷲ 2,016.25 million for Qassim, ﷲ 836.27 million for Tabuk and ﷲ 712.31 million for Al Ahsa, totalling ﷲ 6,922.20 million as at 31 December 2025, which has been determined based on a value-in-use calculation using cash flow projections from financial budgets reviewed by senior management covering a five-year period. The post-zakat discount rate applied to cash flow projections is 8.87%. As at 31 December 2025, the value-in-use of all the CGUs was higher than the net assets value of the Group, indicating no impairment of goodwill. As a result of this analysis, there is headroom of ﷲ 2,153.60 million for Jeddah, ﷲ 1,438.63 million for Qassim, ﷲ 628.14 million for Tabuk and ﷲ 310.60 million for Al Ahsa, totalling ﷲ 4,530.97 million as at 31 December 2025, and management did not identify impairment.

Key assumptions used in value in use calculations and sensitivity to changes in assumptions

The calculation of value in use is most sensitive to the following assumptions:

Earnings before interest, tax, depreciation and amortization (EBITDA)

Management has identified that a reasonably possible change in EBITDA margins by 54.68% for Jeddah, 66.41% for Qassim, 66.07% for Tabuk and 31.49% for Al-Ahsa would result in estimated recoverable amount to be equal to the carrying amount.

Discount rates

Discount rates represent the current market assessment of the risks specific to each CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation also takes into account the specific circumstances of the CGU and is derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity.

A rise in the discount rate by 13.01% for Jeddah, 18.55% for Qassim, 22.84% for Tabuk and 5.45% for Al-Ahsa would result in estimated recoverable amount to be equal to the carrying amount.



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### Growth rates used to extrapolate cash flows beyond the forecast period

Rates are based on detailed value creation plan with external consultant reflecting the market growth and the projection of the Company for coming years. The Group has assumed the terminal value growth rate (TVGR) of 2% to extrapolate cash flows beyond the forecast period. 1% increase in TVGR will increase the recoverable amount of Jeddah by ﷲ 439.62 million, Qassim by ﷲ 263.97 million, Tabuk by ﷲ 109.59 million and Al Ahsa by ﷲ 93.39 million. 1% decrease in TVGR will decrease the recoverable amount of Jeddah by ﷲ 327.95 million, Qassim by ﷲ 196.91 million, Tabuk by ﷲ 81.75 million and Al Ahsa by ﷲ 69.67 million.

As management does not expect new entrant in the market till 31 December 2030, management build the growth plan based on the value creation plan focusing on key enablers to gain market share in retails segment while expanding the base by on-boarding new industrial consumer.

## 8. ACQUISITION OF SUBSIDIARIES

During the year, the Group announced and completed the acquisition of the following entities:

### 8.1 Al-Manar Feed Company Limited (AMFC)

During the year, on 3 February 2025 (corresponding to 12 Sha’ban 1446H), the Board of Directors approved and entered into a preliminary binding agreement for the proposed acquisition of 100% of the shares in Al-Manar Feed Company, a single-person limited liability company based in Jeddah. Subsequently, after the fulfilment of the conditions stipulated in the preliminary agreement, the final Share Purchase Agreement (SPA) was signed on 11 August 2025 (corresponding to 17 Safar 1447H).

On 18 September 2025 (corresponding to 26 Rabi Al-Awal 1447), the Group acquired 100% shares and voting interests in Al-Manar Feed Company. The Commercial Registration and Articles of Association of Al-Manar Feed Company was updated and registered in the name of The First Milling Company.

Al-Manar Feed Company is principally engaged in the production of feed in MODON Industrial Area in Jeddah and its acquisition aligns with the Group’s strategy and marks significant progress in strengthening its feed production capabilities.

The acquisition aims to meet the growing demand of feed in local and regional markets, broaden the Group’s geographical presence, diversify its income streams, and enhance its product portfolio, thereby creating greater value for its shareholders.

For the year ended 31 December 2025, AMFC generated revenue of ﷲ 3.34 million, which was fully eliminated on consolidation and a loss of ﷲ 0.24 million to the Group’s results. If the acquisition had taken place on 1 January 2025, management estimates that consolidated revenue would have remained NIL, while the consolidated loss for the year would have been ﷲ 1.13 million. In calculating these amounts, management has assumed that the provisional fair value adjustments recognized on the acquisition date would have been the same had the acquisition occurred on 1 January 2025.

#### 8.1.1 Consideration transferred

The Parent Company acquired Al-Manar Feed Company for a total consideration of ﷲ 77 million.

#### 8.1.2 Acquisition related costs

The Group incurred acquisition-related costs of ﷲ 2.96 million relating to external professional fees and due diligence costs. These costs have been included in ‘general and administrative expenses’ in the consolidated statement of profit or loss and other comprehensive income.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### 8.1.3 Identifiable assets acquired and liabilities assumed

The following table summarises the recognised amounts of assets acquired and liabilities assumed at the date of acquisition.

|                                               | Amount in ﷲ       |
|-----------------------------------------------|-------------------|
| Property, plant and equipment                 | 60,663,000        |
| Right-of-use assets                           | 679,374           |
| Lease liabilities                             | (679,374)         |
| Other liabilities                             | (623,928)         |
| <b>Total identifiable net assets acquired</b> | <b>60,039,072</b> |

The above amounts have been measured on a provisional basis. If new information obtained within one year of the date of acquisition about facts and circumstances that existed at the date of acquisition identifies adjustments to the above amounts, or any additional provisions that existed at the date of acquisition, then the accounting for the acquisition will be revised.

### 8.1.4 Goodwill

Goodwill arising from the acquisition has been recognised as follows:

|                                       | Amount            |
|---------------------------------------|-------------------|
| Consideration transferred             | 77,000,000        |
| Fair value of identifiable net assets | (60,039,072)      |
| <b>Goodwill</b>                       | <b>16,960,928</b> |

### 8.2 Al-Kenan Arabia for Trading Company (AATC)

During the year, on 15 September 2025 (corresponding to 23 Rabi ul Awal 1447H), the Board of Directors approved and entered into a share purchase agreement for the proposed acquisition of 60% of the shares in Al-Kenan Arabia for Trading Company, a single-person limited liability company based in Buraydah (Al-Qassim). Subsequently, after the fulfilment of the conditions stipulated in the agreement, the acquisition was completed on 1 December 2025 (corresponding to 10 Jumada Al-Akhirah 1447H). Accordingly, the Commercial Registration and Articles of Association of Al-Kenan Arabia for Trading Company was updated and registered in the name of The First Milling Company.

Al-Kenan Arabia for Trading Company is principally engaged in the distribution of feed and bran in Buraydah (Al-Qassim). The acquisition is consistent with the Group’s strategic objectives and is expected to enhance its operational footprint and distribution capabilities within the Kingdom of Saudi Arabia.

From the acquisition date to 31 December 2025, AATC contributed revenue of ﷲ 2.36 million and a profit of ﷲ 0.81 million to the Group’s results. If the acquisition had taken place on 1 January 2025, management estimates that consolidated revenue would have been equal to ﷲ 16.88 million, while the consolidated profit for the year would have been ﷲ 8.90 million. In calculating these amounts, management has assumed that the provisional fair value adjustments recognized on the acquisition date would have been the same had the acquisition occurred on 1 January 2025.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### 8.2.1 Consideration transferred

The Parent Company acquired Al-Kenan Arabia for Trading Company for a net consideration of ﷲ 36,000,000 of which ﷲ 13,928,526 is payable within one year from the acquisition date.

### 8.2.2 Acquisition related costs

The Group incurred acquisition-related costs of ﷲ 1.88 million relating to external professional fees and due diligence costs. These costs have been included in ‘general and administrative expenses’ in the consolidated statement of profit or loss and other comprehensive income.

### 8.2.3 Identifiable assets acquired and liabilities assumed

The following table summarises the recognised amounts of assets acquired and liabilities assumed at the date of acquisition.

|                                               | Amount in ﷲ      |
|-----------------------------------------------|------------------|
| Property, plant and equipment                 | 1,539,942        |
| Inventories                                   | 2,513,552        |
| Trade receivables                             | 8,399,878        |
| Due from related party                        | 5,928,526        |
| Cash and cash equivalents                     | 5,285,141        |
| Trade payables                                | (14,288,808)     |
| Other liabilities                             | (1,152,225)      |
| <b>Total identifiable net assets acquired</b> | <b>8,226,006</b> |

The above amounts have been measured on a provisional basis. If new information obtained within one year of the date of acquisition about facts and circumstances that existed at the date of acquisition identifies adjustments to the above amounts, or any additional provisions that existed at the date of acquisition, then the accounting for the acquisition will be revised.

### 8.2.4 Goodwill

Goodwill arising from the acquisition has been recognised as follows:

|                                                                                                            | Amount            |
|------------------------------------------------------------------------------------------------------------|-------------------|
| Consideration                                                                                              | 36,000,000        |
| Fair value of identifiable net assets                                                                      | (8,226,006)       |
| NCI, based on their proportionate interest in the recognised amounts of the assets and liabilities of AATC | 3,290,402         |
| <b>Goodwill</b>                                                                                            | <b>31,064,396</b> |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

## 9. PROPERTY, PLANT AND EQUIPMENT

|                                                           | Buildings          | Plant and equipment | Furniture and fittings | Computer equipment | Motor vehicles    | Projects under progress | Total                |
|-----------------------------------------------------------|--------------------|---------------------|------------------------|--------------------|-------------------|-------------------------|----------------------|
| <b>Cost</b>                                               |                    |                     |                        |                    |                   |                         |                      |
| At 1 January 2024                                         | 390,897,460        | 382,975,659         | 1,780,440              | 4,008,869          | 12,505,778        | 57,131,965              | 849,300,171          |
| Additions during the year                                 | --                 | --                  | --                     | 132,115            | 580,000           | 52,872,998              | 53,585,113           |
| Disposals during the year                                 | (55,002)           | (3,045,128)         | --                     | --                 | (461,000)         | --                      | (3,561,130)          |
| Transfers during the year                                 | 15,796,193         | 51,082,063          | --                     | --                 | --                | (66,878,256)            | --                   |
| Transfers to intangible assets                            | --                 | -                   | --                     | --                 | --                | (1,057,343)             | (1,057,343)          |
| <b>At 31 December 2024</b>                                | <b>406,638,651</b> | <b>431,012,594</b>  | <b>1,780,440</b>       | <b>4,140,984</b>   | <b>12,624,778</b> | <b>42,069,364</b>       | <b>898,266,811</b>   |
| At 1 January 2025                                         | 406,638,651        | 431,012,594         | 1,780,440              | 4,140,984          | 12,624,778        | 42,069,364              | 898,266,811          |
| Acquisitions through business combinations                | 28,669,248         | 32,318,817          | 149,290                | 164,642            | 1,087,937         | --                      | 62,389,934           |
| Additions during the year                                 | --                 | 3,915,586           | --                     | 120,516            | --                | 111,681,365             | 115,717,467          |
| Transfers from inventories                                | --                 | 7,059,858           | --                     | --                 | --                | --                      | 7,059,858            |
| Transfers during the year                                 | 8,329,084          | 3,974,168           | 2,550,117              | --                 | --                | (14,853,369)            | --                   |
| <b>At 31 December 2025</b>                                | <b>443,636,983</b> | <b>478,281,023</b>  | <b>4,479,847</b>       | <b>4,426,142</b>   | <b>13,712,715</b> | <b>138,897,360</b>      | <b>1,083,434,070</b> |
| <b>Accumulated depreciation</b>                           |                    |                     |                        |                    |                   |                         |                      |
| At 1 January 2024                                         | 67,572,858         | 101,015,370         | 1,463,394              | 2,553,026          | 5,929,566         | --                      | 178,534,214          |
| Charge for the year                                       | 17,051,668         | 19,470,412          | 62,827                 | 607,992            | 1,875,627         | --                      | 39,068,526           |
| Disposals during the year                                 | (16,042)           | (1,291,829)         | --                     | --                 | (130,541)         | --                      | (1,438,412)          |
| <b>At 31 December 2024</b>                                | <b>84,608,484</b>  | <b>119,193,953</b>  | <b>1,526,221</b>       | <b>3,161,018</b>   | <b>7,674,652</b>  | <b>--</b>               | <b>216,164,328</b>   |
| At 1 January 2025                                         | 84,608,484         | 119,193,953         | 1,526,221              | 3,161,018          | 7,674,652         | --                      | 216,164,328          |
| Accumulated depreciation related to business combinations | 16,557             | 15,167              | 4,243                  | 9,053              | 141,972           | --                      | 186,992              |
| Transfers from inventories                                | --                 | 1,489,130           | --                     | --                 | --                | --                      | 1,489,130            |
| Charge for the year                                       | 18,860,714         | 24,208,800          | 132,650                | 613,312            | 1,500,884         | --                      | 45,316,360           |
| <b>At 31 December 2025</b>                                | <b>103,485,755</b> | <b>144,907,050</b>  | <b>1,663,114</b>       | <b>3,783,383</b>   | <b>9,317,508</b>  | <b>--</b>               | <b>263,156,810</b>   |
| <b>Carrying amounts</b>                                   |                    |                     |                        |                    |                   |                         |                      |
| <b>At 31 December 2025</b>                                | <b>340,151,228</b> | <b>333,373,973</b>  | <b>2,816,733</b>       | <b>642,759</b>     | <b>4,395,207</b>  | <b>138,897,360</b>      | <b>820,277,260</b>   |
| <b>At 31 December 2024</b>                                | <b>322,030,167</b> | <b>311,818,641</b>  | <b>254,219</b>         | <b>979,966</b>     | <b>4,950,126</b>  | <b>42,069,364</b>       | <b>682,102,483</b>   |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

**9.1** The buildings are built on land leased from the GFSA with an annual rental of ﷲ 8.39 million. The lease term is twenty-five calendar years commenced from 1 January 2017 (corresponding to 3 Rabee Thani 1438H) and is renewable for a similar period. In 2020, the lease term was extended by an additional three years.

**9.2** As at 31 December 2025, projects under progress mainly consists of the following projects:

- i) Upgrading of Mill A in Jeddah
- ii) New Mill C in Qassim

Capital commitments relating to these projects amount to ﷲ 48.9 million (31 December 2024: ﷲ 49.70 million)

**9.3** The depreciation charge on property, plant and equipment for the year has been allocated as follows:

|                                               | 2025              | 2024              |
|-----------------------------------------------|-------------------|-------------------|
| Cost of revenue (note 29)                     | 40,322,809        | 33,759,474        |
| General and administrative expenses (note 30) | 3,790,872         | 4,078,102         |
| Selling and distribution expenses (note 31)   | 1,202,679         | 1,230,950         |
|                                               | <b>45,316,360</b> | <b>39,068,526</b> |

10. RIGHT-OF-USE ASSETS

The Group leases silos, lands, buildings, warehouses and equipment. Silos and lands are leased from the GFSA with a lease term of twenty-five calendar years commenced from 1 January 2017 (corresponding to 3 Rabi Al Thani 1438H) and is renewable for a similar period. In 2020, the lease term was extended by an additional three years. Other leases typically run for a period of 3 to 18 years, with an option to renew the lease after that date. For leases, the Group is restricted from entering into any sub-lease arrangements.

During the year, the Parent Company has entered into two new lease arrangements for lands located in Modon Industrial Area for a period of twenty years each.

During the year, the Group has recognized leasehold lands of Al-Manar Feed Company as part of the acquisition. The lease agreements are for a period of 14 years and are renewable upon agreement of new terms and conditions.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

The Group leases warehouses with contract terms of one year. These leases are short term leases. The Group has elected not to recognise right-of-use assets and lease liabilities for these leases.

|                                           | Silos              | Lands              | Buildings and warehouses | Equipment        | Total              |
|-------------------------------------------|--------------------|--------------------|--------------------------|------------------|--------------------|
| <b>Cost</b>                               |                    |                    |                          |                  |                    |
| At 1 January 2024                         | 262,147,500        | 110,595,477        | 19,267,315               | 1,561,840        | 393,572,132        |
| Impact of modification                    | --                 | 11,625,464         | --                       | --               | 11,625,464         |
| Disposals during the year                 | --                 | --                 | (348,073)                | --               | (348,073)          |
| <b>At 31 December 2024</b>                | <b>262,147,500</b> | <b>122,220,941</b> | <b>18,919,242</b>        | <b>1,561,840</b> | <b>404,849,523</b> |
| At 1 January 2025                         | 262,147,500        | 122,220,941        | 18,919,242               | 1,561,840        | 404,849,523        |
| Additions during the year                 | --                 | 3,769,544          | --                       | --               | 3,769,544          |
| Acquisition through business combinations | --                 | 679,374            | --                       | --               | 679,374            |
| <b>At 31 December 2025</b>                | <b>262,147,500</b> | <b>126,669,859</b> | <b>18,919,242</b>        | <b>1,561,840</b> | <b>409,298,441</b> |
| <b>Accumulated depreciation</b>           |                    |                    |                          |                  |                    |
| At 1 January 2024                         | 61,416,283         | 19,309,907         | 7,720,852                | 1,159,402        | 89,606,444         |
| Charge for the year                       | 9,577,318          | 4,802,561          | 1,149,518                | 402,438          | 15,931,835         |
| Disposals during the year                 | --                 | --                 | (232,369)                | --               | (232,369)          |
| <b>At 31 December 2024</b>                | <b>70,993,601</b>  | <b>24,112,468</b>  | <b>8,638,001</b>         | <b>1,561,840</b> | <b>105,305,910</b> |
| <b>At 1 January 2025</b>                  | <b>70,993,601</b>  | <b>24,112,468</b>  | <b>8,638,001</b>         | <b>1,561,840</b> | <b>105,305,910</b> |
| Charge for the year                       | 9,578,748          | 5,109,509          | 1,207,076                | --               | 15,895,333         |
| <b>At 31 December 2025</b>                | <b>80,572,349</b>  | <b>29,221,977</b>  | <b>9,845,077</b>         | <b>1,561,840</b> | <b>121,201,243</b> |
| <b>Carrying amounts</b>                   |                    |                    |                          |                  |                    |
| <b>At 31 December 2025</b>                | <b>181,575,151</b> | <b>97,447,882</b>  | <b>9,074,165</b>         | <b>--</b>        | <b>288,097,198</b> |
| <b>At 31 December 2024</b>                | <b>191,153,899</b> | <b>98,108,473</b>  | <b>10,281,241</b>        | <b>--</b>        | <b>299,543,613</b> |

**10.1** The depreciation charge on right-of-use assets for the year has been allocated as follows:

|                                               | 2025              | 2024              |
|-----------------------------------------------|-------------------|-------------------|
| Cost of revenue (note 29)                     | 15,212,109        | 15,288,266        |
| General and administrative expenses (note 30) | 632,902           | 594,379           |
| Selling and distribution expenses (note 31)   | 50,322            | 49,190            |
|                                               | <b>15,895,333</b> | <b>15,931,835</b> |



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

11. INTANGIBLE ASSETS

11.1 Intangible assets include computer programmes and software. Movement in intangible assets is as follows:

|                                              | Computer software | Projects under progress | Total             |
|----------------------------------------------|-------------------|-------------------------|-------------------|
| <b>Cost:</b>                                 |                   |                         |                   |
| At 1 January 2024                            | 6,898,484         | --                      | 6,898,484         |
| Transfers from property, plant and equipment | --                | 1,057,343               | 1,057,343         |
| Additions during the year                    | --                | 3,795,986               | 3,795,986         |
| Transfers during the year                    | 506,000           | (506,000)               | --                |
| <b>At 31 December 2024</b>                   | <b>7,404,484</b>  | <b>4,347,329</b>        | <b>11,751,813</b> |
| At 1 January 2025                            | 7,404,484         | 4,347,329               | 11,751,813        |
| Additions during the year                    | --                | 3,183,014               | 3,183,014         |
| Transfers during the year                    | 7,070,918         | (7,070,918)             | --                |
| <b>At 31 December 2025</b>                   | <b>14,475,402</b> | <b>459,425</b>          | <b>14,934,827</b> |
| <b>Accumulated amortization:</b>             |                   |                         |                   |
| At 1 January 2024                            | 1,825,506         | --                      | 1,825,506         |
| Charge for the year                          | 763,621           | --                      | 763,621           |
| <b>At 31 December 2024</b>                   | <b>2,589,127</b>  | <b>--</b>               | <b>2,589,127</b>  |
| At 1 January 2025                            | 2,589,127         | --                      | 2,589,127         |
| Charge for the year                          | 1,237,037         | --                      | 1,237,037         |
| <b>At 31 December 2025</b>                   | <b>3,826,164</b>  | <b>--</b>               | <b>3,826,164</b>  |
| <b>Carrying amounts</b>                      |                   |                         |                   |
| <b>At 31 December 2025</b>                   | <b>10,649,238</b> | <b>459,425</b>          | <b>11,108,663</b> |
| <b>At 31 December 2024</b>                   | <b>4,815,357</b>  | <b>4,347,329</b>        | <b>9,162,686</b>  |

11.2 The amortisation charge on intangible assets for the year has been allocated as follows:

|                                               | 2025             | 2024           |
|-----------------------------------------------|------------------|----------------|
| Cost of revenue (note 29)                     | 117,733          | 117,733        |
| General and administrative expenses (note 30) | 1,013,748        | 563,339        |
| Selling and distribution expenses (note 31)   | 105,556          | 82,549         |
|                                               | <b>1,237,037</b> | <b>763,621</b> |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

12. DERIVATIVE FINANCIAL INSTRUMENT

To hedge the variability in interest rate on Term Murabaha facility with a maturity date of 31 December 2035, the Group entered into a profit rate cap agreement with Gulf International Bank.

The profit rate cap agreement requires the Group to pay floating rate of SAIBOR until it reaches to 2%, post which the Group will pay only the cap rate of 2%. The maturity date of the agreement is 30 June 2026.

For the purpose of hedge accounting, profit rate cap has been designated into cash flow hedge. The fair value and notional amount of the profit rate cap derivative is as follows:

|                            | 31 December 2025 | 31 December 2024  |
|----------------------------|------------------|-------------------|
| <b>Profit Rate Cap</b>     |                  |                   |
| Notional amount            | 622,582,778      | 684,101,823       |
| <b>Positive fair value</b> |                  |                   |
| Current                    | 7,928,860        | 19,422,922        |
| Non-current                | --               | 7,727,210         |
|                            | <b>7,928,860</b> | <b>27,150,132</b> |

The hedge has been assessed to be effective and as at 31 December 2025, net un-realised loss of ﷲ 14.44 million (31 December 2024: ﷲ 12.79 million) has been included in the other comprehensive income.

The components of other comprehensive income are as follows:

|                                                              | 31 December 2025  | 31 December 2024  |
|--------------------------------------------------------------|-------------------|-------------------|
| Cash flow hedge – effective portion of changes in fair value | 19,221,227        | 15,531,148        |
| Cash flow hedge – reclassified to profit or loss             | --                | 90                |
| Cost of hedging reserve – changes in fair value              | 46                | 25,475            |
| Cost of hedging reserve – reclassified to profit or loss     | (4,779,950)       | (2,756,736)       |
|                                                              | <b>14,441,323</b> | <b>12,799,977</b> |

The amount of ﷲ 5.53 million shown as cash flow hedging reserve in the consolidated statement of financial position as at 31 December 2025 is expected to affect the profit or loss in forthcoming years.

The table below summaries the maturity profile of the derivative financial instrument based on contractual undiscounted payments.

|                         | Maturity            |                  |                   |
|-------------------------|---------------------|------------------|-------------------|
|                         | Less than 12 months | 1 – 5 years      | Total             |
| <b>31 December 2025</b> | <b>8,079,889</b>    | <b>--</b>        | <b>8,079,889</b>  |
| <b>31 December 2024</b> | <b>20,095,829</b>   | <b>8,310,854</b> | <b>28,406,683</b> |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### 13. INVENTORIES

**13.1** Inventories comprise of the following:

|                                                          | 31 December<br>2025 | 31 December<br>2024 |
|----------------------------------------------------------|---------------------|---------------------|
| Spare parts                                              | 73,864,690          | 79,472,822          |
| Raw materials                                            | 85,488,098          | 55,455,904          |
| Finished goods                                           | 19,051,616          | 18,839,216          |
| Goods in transit                                         | 272,256             | 29,159,057          |
| Others                                                   | 354,921             | 591,913             |
| Less: adjustment for net realizable value of inventories | (16,131,845)        | (21,820,372)        |
|                                                          | <b>162,899,736</b>  | <b>161,698,540</b>  |

**13.2** Spare parts amounting to ﷲ 10.01 million (31 December 2024: ﷲ 10.06 million) consumed during the year is included in the raw material consumed under cost of revenue. Cost of raw materials, packing materials and finished goods recognized during the year are disclosed in note 29.

**13.3** Movement of adjustment for net realizable value of inventories during the year is as follows:

|                                           | 31 December<br>2025 | 31 December<br>2024 |
|-------------------------------------------|---------------------|---------------------|
| At the beginning of the year              | 21,820,372          | 24,392,010          |
| Transfer to property, plant and equipment | (1,489,130)         | --                  |
| Write off during the year                 | (1,620,913)         | --                  |
| Reversal during the year                  | (2,578,484)         | (2,571,638)         |
| <b>At end of the year</b>                 | <b>16,131,845</b>   | <b>21,820,372</b>   |

**13.4** During the year ended 31 December 2025, the Group has recognized reversal for net realizable value of inventories amounting to ﷲ 2.58 million (31 December 2024: reversal for the year amounting to ﷲ 2.57 million). The amount is included in the cost of revenue.

### 14. TRADE RECEIVABLES

**14.1** Trade receivables comprise of the following:

|                                                         | 31 December<br>2025 | 31 December<br>2024 |
|---------------------------------------------------------|---------------------|---------------------|
| Trade receivables                                       | 41,625,930          | 20,174,992          |
| Allowance for expected credit loss on trade receivables | (1,306,023)         | (1,612,210)         |
|                                                         | <b>40,319,907</b>   | <b>18,562,782</b>   |

The settlement period of these trade receivables is 30 – 75 days and the Group holds no security against these receivables.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

**14.2** The movement of allowance for expected credit losses during the year is as follows:

|                                      | 31 December<br>2025 | 31 December<br>2024 |
|--------------------------------------|---------------------|---------------------|
| At the beginning of the year         | 1,612,210           | 1,297,624           |
| (Reversal)/provision during the year | (306,187)           | 314,586             |
| <b>At the end of the year</b>        | <b>1,306,023</b>    | <b>1,612,210</b>    |

### 15. PREPAYMENTS AND OTHER CURRENT ASSETS

|                                                            | 31 December<br>2025 | 31 December<br>2024 |
|------------------------------------------------------------|---------------------|---------------------|
| Advances to contractors                                    | 21,036,340          | 7,160,683           |
| Other receivables                                          | 5,938,948           | 3,483               |
| Prepayments (note 15.1)                                    | 3,228,211           | 4,371,365           |
| VAT receivable                                             | 3,449,136           | --                  |
| Margins against letter of guarantees -restricted (note 35) | 329,494             | --                  |
| Security deposits                                          | 88,846              | --                  |
|                                                            | <b>34,070,975</b>   | <b>11,535,531</b>   |

**15.1** Prepayments mainly includes prepaid rent, medical insurance and others.

### 16. CASH AND CASH EQUIVALENTS

|                     | 31 December<br>2025 | 31 December<br>2024 |
|---------------------|---------------------|---------------------|
| Cash at banks       | 93,129,887          | 65,540,441          |
| Cash in hand        | 177,212             | --                  |
| Short-term deposits | --                  | 127,000,000         |
|                     | <b>93,307,099</b>   | <b>192,540,441</b>  |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

17. SHARE CAPITAL

The authorized, issued and fully paid-up share capital of the Parent Company as at 31 December 2025 amounted to ﷲ 555,000,000 (31 December 2024: ﷲ 555,000,000) consists of 55,500,000 shares (31 December 2024: 55,500,000 shares) at ﷲ 10 each share.

The shareholding pattern as of 31 December 2025 and 31 December 2024 is as follows:

|                                               | Percentage | No. of shares | Amount      |
|-----------------------------------------------|------------|---------------|-------------|
| Abdullah Abunayyan Trading Company            | 21         | 11,655,000    | 116,550,000 |
| Al Mutlaq Group Industrial Investment Company | 30         | 16,650,000    | 166,500,000 |
| Al Safi Advanced Investments                  | 12         | 6,660,000     | 66,600,000  |
| Essa Al Ghurair Investments                   | 7          | 3,885,000     | 38,850,000  |
| Treasury shares (note 19.5)                   | 0.54       | 300,000       | 3,000,000   |
| General public                                | 29.46      | 16,350,000    | 163,500,000 |
|                                               | 100        | 55,500,000    | 555,000,000 |

18. SHAREHOLDERS’ CONTRIBUTION

The amount of ﷲ 6,751,214 (31 December 2024: ﷲ 6,751,214) represents the Parent Company’s share of IPO costs that have been collected from the shareholders.

19. RESERVES

19.1 Merger reserve

The balance of ﷲ 37,554,503 merger reserve on 31 December 2025 and 31 December 2024 was resulted from the merger of Raha Al Safi Food Company into The First Milling Company. (note 1).

19.2 Statutory reserve

In accordance with the previous By-laws of the Parent Company, the Parent Company transfers 10% of its net income each year as a statutory reserve until such reserve reaches 30% of the share capital. This statutory reserve is not required in accordance with the new Companies Law and amended By-laws of the Parent Company.

The Group is in the process of obtaining approvals from the relevant authorities and extra ordinary general assembly transfer this balance of statutory reserve to the retained earnings as on the date of approval of these consolidated financial statements.

19.3 General reserve

In accordance with the By-laws of the Parent Company, the Parent Company is required to transfer an amount not exceeding 10% of the Company’s profit, into the general reserve.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

19.4 Employees’ share based payments reserve

The Parent Company has established a share based compensation scheme for its key management that entitles them to the shares of the Parent Company subject to successfully meeting certain service and performance conditions. Under the share based remuneration scheme, the Group has only one outstanding plan which is matured during the year. Significant features of the scheme are as follows:

| Nature of plan                     | Equity based long term bonus plan              |
|------------------------------------|------------------------------------------------|
| Grant date                         | 10 January 2024                                |
| Maturity date                      | 31 December 2025                               |
| Vesting period                     | 25 months (1 December 2023 – 31 December 2025) |
| Method of settlement               | Equity-settled transaction                     |
| Fair value per share on grant date | ﷲ 75.1                                         |

The shareholders of the Parent Company through Extraordinary General Assembly Meeting held on 10 January 2024 (corresponding to 28 Jumada Al-Thani 1445H), approved the purchase of a number of shares which shall not exceed 300,000 shares for the purpose of allocating such shares to employees as part of the employee share scheme which shall be financed through the funds present in the Company, and on authorizing the Board to complete the purchase within a period not exceeding twelve months from the date of the extraordinary general assembly’s resolution.

The grant date for the year ended 31 December 2023 was determined as the date of approval of the scheme from the shareholders of the Parent Company. The provision was recognized for services provided by the employees in those financial statements based on the fair value of shares on 31 December 2023. The Group has revised the estimate of expense for the year ended 31 December 2023 with an amount of ﷲ 9,521 based on the fair value of shares on grant date of 10 January 2024.

These shares are granted only under a service/performance condition with no market condition associated with them.

Total amount of expense recognized in the consolidated statement of profit or loss and other comprehensive income during the year ended 31 December 2025 in respect of this scheme is ﷲ 11.89 million (31 December 2024: ﷲ 2.85 million) for 269,666 shares (31 December 2024: 284,296 shares) granted during the year at a weighted average price of ﷲ 74.3 per share (31 December 2024: ﷲ 74.3 per share).

The movement in the number of shares granted is as follows:

|                              | 31 December 2025 | 31 December 2024 |
|------------------------------|------------------|------------------|
| At the beginning of the year | 284,296          | 292,159          |
| Granted during the year      | 6,694            | 51,126           |
| Forfeited during the year    | (21,324)         | (58,989)         |
| At the end of the year       | 269,666          | 284,296          |

19.5 Treasury shares

The Parent Company has buy-back its 300,000 shares as treasury shares at an average price of ﷲ 84.54 during the year ended 31 December 2024.



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### 20. DIVIDENDS PAYABLE

**20.1** On 23 July 2025 (corresponding to 28 Muharram 1447H), and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 24 June 2025 (corresponding to 28 Dhul Hijjah 1446H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2025, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the first six months of 2025 ended on 30 June 2025 (corresponding to 5 Muharram 1447H), with a total amount of ﷲ 81,696,000 at ﷲ 1.48 per share of the nominal capital. The dividends were distributed on 20 August 2025 (corresponding to 26 Safar 1447H).

**20.2** On 12 March 2025 (corresponding to 12 Ramadan 1446H), and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 10 January 2025 (corresponding to 28 Jumada Al Thani 1445H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2024, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the last six months of 2024 ended on 31 December 2024 (corresponding to 30 Jumada Al Thani 1446H), with a total amount of ﷲ 71,595,000 at ﷲ 1.29 per share of the nominal capital. The dividends were distributed on 22 April 2025 (corresponding to 24 Shawwal 1446H).

**20.3** On 22 July 2024 (corresponding to 16 Muharram 1446H) and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 10 January 2024 (corresponding to 28 Jumada Al-Thani 1445H) regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2024, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the first six months of 2024 ended on 30 June 2024, with a total amount of ﷲ 86,025,000 at ﷲ 1.55 per share or (15.5%) of the nominal capital. The dividends were distributed on 13 August 2024 (corresponding to 9 Safar 1446H).

**20.4** On 10 March 2024 (corresponding to 29 Shaban 1445H), and based on the resolution of the Ordinary General Assembly of the Parent Company held on 6 March 2024 (corresponding to 25 Shaban 1445H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2023, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the last six months of 2023 ended on 31 December 2023 (corresponding to 18 Jumada Al Thani 1445H), with a total amount of ﷲ 78,255,000 at ﷲ 1.41 per share of the nominal capital. The dividends were distributed on 23 April 2024 (corresponding to 14 Shawwal 1445H).

**20.5** Movement in dividends payable is as follows:

|                               | 31 December<br>2025 | 31 December<br>2024 |
|-------------------------------|---------------------|---------------------|
| At the beginning of the year  | 19,907              | 19,811              |
| Declared during the year      | 153,735,000         | 164,280,000         |
| Paid during the year          | (152,904,000)       | (163,673,904)       |
| Dividends on treasury shares  | (831,000)           | (606,000)           |
| <b>At the end of the year</b> | <b>19,907</b>       | <b>19,907</b>       |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### 21. LEASE LIABILITIES

**21.1** Movement in lease liabilities during the year is as follows:

|                                           | 31 December<br>2025 | 31 December<br>2024 |
|-------------------------------------------|---------------------|---------------------|
| At the beginning of the year              | 340,191,384         | 338,090,038         |
| Additions during the year                 | 3,769,544           | --                  |
| Acquisition through business combinations | 679,374             | --                  |
| Impact of modification                    | --                  | 11,625,464          |
| Disposals during the year                 | --                  | (108,902)           |
| Finance charges on lease liabilities      | 13,750,360          | 13,482,184          |
| Repayment of lease liabilities            | (18,377,536)        | (13,545,414)        |
| Finance cost paid on lease                | (13,140,881)        | (9,351,986)         |
| <b>At the end of the year</b>             | <b>326,872,245</b>  | <b>340,191,384</b>  |
| Current portion                           | 25,047,877          | 30,925,951          |
| Non – Current portion                     | 301,824,368         | 309,265,433         |
|                                           | <b>326,872,245</b>  | <b>340,191,384</b>  |

**21.2** Amounts recognised in consolidated statements of profit or loss

|                                                             | 2025       | 2024       |
|-------------------------------------------------------------|------------|------------|
| Finance cost on lease liabilities                           | 13,750,360 | 13,482,184 |
| Expenses relating to short-term leases and low-value assets | 3,863,385  | 3,758,065  |

**21.3** Amounts recognised in consolidated statement of cash flows

|                                | 2025              | 2024              |
|--------------------------------|-------------------|-------------------|
| Repayment of lease liabilities | 18,377,536        | 13,545,414        |
| Finance cost paid on lease     | 13,140,881        | 9,351,986         |
|                                | <b>31,518,417</b> | <b>22,897,400</b> |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

22. LONG-TERM LOANS

|                                         | 31 December<br>2025 | 31 December<br>2024  |
|-----------------------------------------|---------------------|----------------------|
| Term murabaha facility                  | 785,054,580         | 877,751,786          |
| Long-term loan – SIDF                   | 75,000,000          | 150,000,000          |
| Long-term loan – SAB                    | 54,600,000          | --                   |
| Accrued interest                        | 267,616             | --                   |
| Less: unamortised loan transaction cost | (14,170,820)        | (17,113,867)         |
|                                         | <b>900,751,376</b>  | <b>1,010,637,919</b> |
| Current portion                         | 122,262,474         | 162,367,151          |
| Non-current portion                     | 778,488,902         | 848,270,768          |
|                                         | <b>900,751,376</b>  | <b>1,010,637,919</b> |

The Group has a term Murabaha facility with Alinma Bank amounting to ﷲ 1,371 million, of which ﷲ 1,300 million was utilised as at 31 December 2025. The facility carries interest at SAIBOR plus a margin, is subject to financial covenants, and is secured by promissory notes and certain pledged assets. The utilised amount is repayable in 30 unequal instalments commencing from 30 June 2021.

During the year ended 31 December 2024, the Group obtained an interest-free loan from the Saudi Industrial Development Fund (SIDF) amounting to ﷲ 150 million to finance working capital requirements. The loan is subject to financial covenants and secured by promissory notes. It is repayable in four equal instalments of ﷲ 37.5 million over 24 months from the date of first disbursement (5 August 2024).

During the year, the Group obtained a term finance facility from Saudi Awwal Bank (SAB) amounting to ﷲ 630 million, of which ﷲ 54.6 million was utilized. The utilized portion is subject to financial covenants and is repayable in ten unequal semi-annual instalments commencing from 21 June 2026. The Group's financing arrangements with SAB include financial covenant requirements relating to certain liquidity ratios. As at 31 December 2025, the current ratio was below the minimum threshold specified in the facility agreement. However, subsequent to the year end, a formal waiver was obtained, confirming continuation of the facility under its existing terms and repayment schedule.

Movement in loan balance as on 31 December 2025 is as follows:

|                               | Term<br>Murabaha<br>Facility | SIDF<br>Loan      | SAB<br>Loan       | Total              |
|-------------------------------|------------------------------|-------------------|-------------------|--------------------|
| At the beginning of the year  | 877,751,786                  | 150,000,000       | --                | 1,027,751,786      |
| Acquired during the year      | --                           | --                | 54,600,000        | 54,600,000         |
| Paid during the year          | (92,697,206)                 | (75,000,000)      | --                | (167,697,206)      |
| <b>At the end of the year</b> | <b>785,054,580</b>           | <b>75,000,000</b> | <b>54,600,000</b> | <b>914,654,580</b> |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

Movement in loan balance as on 31 December 2024 is as follows:

|                               | Term<br>Murabaha<br>Facility | SIDF<br>Loan       | Total                |
|-------------------------------|------------------------------|--------------------|----------------------|
| At the beginning of the year  | 1,059,449,501                | --                 | 1,059,449,501        |
| Acquired during the year      | --                           | 150,000,000        | 150,000,000          |
| Paid during the year          | (181,697,715)                | --                 | (181,697,715)        |
| <b>At the end of the year</b> | <b>877,751,786</b>           | <b>150,000,000</b> | <b>1,027,751,786</b> |

Maturity analysis–contractual cash flows

|                     | 31 December<br>2025  | 31 December<br>2024  |
|---------------------|----------------------|----------------------|
| Within one year     | 216,709,249          | 224,604,722          |
| One to five year    | 579,997,430          | 610,145,311          |
| More than five year | 438,693,357          | 558,892,360          |
|                     | <b>1,235,400,036</b> | <b>1,393,642,393</b> |

23. LONG-TERM PAYABLES

|                     | 31 December<br>2025 | 31 December<br>2024 |
|---------------------|---------------------|---------------------|
| Current portion     | 16,413,077          | 9,536,174           |
| Non-current portion | 42,148,019          | 23,596,226          |
|                     | <b>58,561,096</b>   | <b>33,132,400</b>   |

Long-term payables represent the amounts payable to Buhler AG for the purchase of machinery and equipment in ten equal semi-annual instalments.

During the year, an amount of ﷲ 33.59 million (CHF 7,958,892) was recognized in respect of machinery and equipment purchased for the new Flour Mill C project in Al-Qassim and the new Pesa Mill.

Maturity analysis–contractual undiscounted cash flow

|                   | 31 December<br>2025 | 31 December<br>2024 |
|-------------------|---------------------|---------------------|
| Within one year   | 18,326,041          | 10,813,862          |
| One to five years | 46,269,507          | 27,034,655          |
|                   | <b>64,595,548</b>   | <b>37,848,517</b>   |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

24. EMPLOYEES’ DEFINED BENEFIT OBLIGATIONS

|                                             | 31 December<br>2025 | 31 December<br>2024 |
|---------------------------------------------|---------------------|---------------------|
| Present value of defined benefit obligation | 7,989,291           | 8,674,000           |

ACTUARIAL ASSUMPTIONS

The major financial assumptions used to calculate the defined benefit obligation are as follows:

|                                     | 31 December<br>2025 | 31 December<br>2024 |
|-------------------------------------|---------------------|---------------------|
| Discount rate                       | 4.90%               | 5.00%               |
| Salary increase rate                | 2.00%               | 2.00%               |
| Mortality Table                     | Saudi Life Table    | Saudi Life Table    |
| Employee turnover (withdrawal) rate | 1%-25%              | 1%-25%              |
| Expected retirement age             | 60 Years            | 60 Years            |

At 31 December 2025, the weighted-average duration of the defined benefit obligation was 6 years (31 December 2024: 4 years).

AMOUNT CHARGED TO CONSOLIDATED PROFIT OR LOSS

|                                                                  | 2025      | 2024      |
|------------------------------------------------------------------|-----------|-----------|
| Service (income)/cost                                            | (410,009) | 3,478,000 |
| Net interest amount charged on the net defined benefit liability | 584,000   | 461,000   |
| The total amount charged to profit or loss                       | 173,991   | 3,939,000 |

AMOUNT CHARGED TO CONSOLIDATED OTHER COMPREHENSIVE INCOME

|                                                                | 2025     | 2024    |
|----------------------------------------------------------------|----------|---------|
| (Loss)/gain resulting from the change in financial assumptions | (43,000) | 74,000  |
| Gain resulting from experience adjustments                     | 695,869  | 877,201 |
| Actuarial gain                                                 | 652,869  | 951,201 |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

NET DEFINED BENEFIT OBLIGATION

|                                                                        | 31 December<br>2025 | 31 December<br>2024 |
|------------------------------------------------------------------------|---------------------|---------------------|
| Net defined benefit obligation at the beginning of the year            | 8,674,000           | 6,552,000           |
| Acquisition through business combinations                              | 627,300             | --                  |
| Current service cost                                                   | 3,369,991           | 3,478,000           |
| Past service cost                                                      | (3,780,000)         | --                  |
| Interest expense                                                       | 584,000             | 461,000             |
| Paid during the year                                                   | (833,131)           | (865,799)           |
| Remeasurement of the net defined benefit liability                     | (652,869)           | (951,201)           |
| Present value of the defined benefit obligation at the end of the year | 7,989,291           | 8,674,000           |

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions for 31 December 2025 is:

|                        | Increase / (Decrease) |      |            |
|------------------------|-----------------------|------|------------|
|                        | Original              | %    | Amount (ﷲ) |
| Discount rate          | 7,989,291             | + 1% | (413,000)  |
|                        |                       | - 1% | 467,000    |
| Salary increase rate   | 7,989,291             | + 1% | 477,000    |
|                        |                       | - 1% | (428,000)  |
| Employee turnover rate | 7,989,291             | +1%  | (76,000)   |
|                        |                       | - 1% | 72,000     |

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions for 31 December 2024 is:

|                        | Increase / (Decrease) |      |            |
|------------------------|-----------------------|------|------------|
|                        | Original              | %    | Amount (ﷲ) |
| Discount rate          | 8,674,000             | + 1% | (353,000)  |
|                        |                       | - 1% | 395,000    |
| Salary increase rate   | 8,674,000             | + 1% | 404,000    |
|                        |                       | - 1% | (366,000)  |
| Employee turnover rate | 8,674,000             | +1%  | (21,000)   |
|                        |                       | - 1% | 27,000     |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

The undiscounted maturity profile of the defined benefit obligation is as follows:

|                       | 31 December<br>2025 | 31 December<br>2024 |
|-----------------------|---------------------|---------------------|
| Current portion       | 1,036,000           | 2,353,000           |
| Between 1 and 2 years | 1,595,000           | 2,175,000           |
| Between 2 and 5 years | 4,065,000           | 5,541,000           |
| Beyond 5 years        | 26,333,000          | 24,143,000          |
|                       | <b>33,029,000</b>   | <b>34,212,000</b>   |

## 25. SHORT-TERM LOAN

|                 | 31 December<br>2025 | 31 December<br>2024 |
|-----------------|---------------------|---------------------|
| Short-term loan | <b>40,000,000</b>   | --                  |

Short-term loan comprises of revolving finance facility for a period of one year, repayable in 90 days from the date of drawdown, to finance the working capital needs of the Group. The total facility amount is ﷲ 40,000,000 that was temporarily extended to ﷲ 80,000,000 for a period of three months (note 22). The facility carries interest at SAIBOR plus 1 % margin.

## 26. ACCRUED EXPENSES AND OTHER CURRENT LIABILITIES

|                                       | 31 December<br>2025 | 31 December<br>2024 |
|---------------------------------------|---------------------|---------------------|
| Accrued expenses (note 26.1 and 26.2) | 77,965,620          | 61,926,564          |
| VAT payable                           | --                  | 4,585,332           |
| Other payables (note 26.2)            | 14,628,567          | 928,710             |
| Dividends payable (note 20)           | 19,907              | 19,907              |
|                                       | <b>92,614,094</b>   | <b>67,460,513</b>   |

**26.1** Accrued expenses mainly comprise of accrued electricity, rent, professional services charges and employee related expenses.

**26.2** This includes ﷲ 13.93 million consideration payable in relation to acquisition of Al-Kenan Arabia Trading Company.

**26.3** This includes fines and penalties relating to a claim received from GFSA on 17 December 2024 following an inspection conducted on 19 October 2024 concerning compliance with applicable regulatory requirements. Management has submitted its response in consultation with an independent expert. As the matter remains under review, a provision of ﷲ 2 million has been recognised in the consolidated financial statements (31 December 2024: ﷲ 2 million)

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

## 27. ADVANCES FROM CUSTOMERS

Advances from customers primarily relates to the advance consideration received from customers for the sale of goods. Advances from customers amounting to ﷲ 24.31 million as at 31 December 2024 has been recognised as revenue in the consolidated statement of profit or loss and other comprehensive income for the year ended 31 December 2025 (31 December 2024: ﷲ 18.77 million). The Group expects to recognise advances from customers amounting to ﷲ 20.44 million as revenue for the year ending 31 December 2026.

## 28. REVENUE FROM CONTRACTS WITH CUSTOMERS

|                      | 2025                 | 2024                 |
|----------------------|----------------------|----------------------|
| <b>Sale of goods</b> | <b>1,146,373,588</b> | <b>1,048,854,922</b> |

The Group generates revenue primarily from the sale of flour, feed and bran.

### 28.1 Disaggregation of revenue from sales of goods

Revenue is disaggregated by type of goods as shown below:

| Type of goods | 2025                 | 2024                 |
|---------------|----------------------|----------------------|
| Flour         | 651,839,323          | 599,124,549          |
| Feed          | 351,680,135          | 311,901,736          |
| Bran          | 142,854,130          | 137,828,637          |
|               | <b>1,146,373,588</b> | <b>1,048,854,922</b> |

Revenue from flour includes semolina and flour mixes.

## 29. COST OF REVENUE

Cost of revenue comprises the following:

|                                                                | 2025               | 2024               |
|----------------------------------------------------------------|--------------------|--------------------|
| Raw materials consumed                                         | 480,431,345        | 427,456,572        |
| Salaries and other benefits                                    | 62,409,747         | 59,129,648         |
| Fuel and power                                                 | 31,029,729         | 27,894,326         |
| Depreciation of property, plant and equipment (note 9.3)       | 40,322,809         | 33,759,474         |
| Depreciation of right-of-use assets (note 10.1)                | 15,212,109         | 15,288,266         |
| Other expenses                                                 | 19,070,506         | 17,333,484         |
| Transportation and distribution                                | 6,646,883          | 6,400,375          |
| Adjustment for net realizable value of inventories             | (2,578,484)        | (2,571,638)        |
| Maintenance                                                    | 4,718,338          | 7,629,670          |
| Professional and consulting fees                               | 661,956            | 1,121,256          |
| Short-term lease rentals                                       | 3,826,740          | 3,602,065          |
| Amortization of intangible assets (note 11.2)                  | 117,733            | 117,733            |
|                                                                | <b>661,869,411</b> | <b>597,161,231</b> |
| Finished goods inventory at the beginning of the year          | 18,839,216         | 13,445,109         |
| Finished goods inventory acquired through business combination | 2,513,552          | --                 |
| Finished goods available for sale during the year              | 683,222,179        | 610,606,340        |
| Finished goods inventory at the end of the year                | (19,051,616)       | (18,839,216)       |
|                                                                | <b>664,170,563</b> | <b>591,767,124</b> |



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷻ, unless otherwise specified)

### 30. GENERAL AND ADMINISTRATIVE EXPENSES

General and administrative expenses comprise the following:

|                                                                  | 2025              | 2024              |
|------------------------------------------------------------------|-------------------|-------------------|
| Salaries and other benefits                                      | 41,778,790        | 49,273,132        |
| Other expenses                                                   | 13,053,997        | 13,252,598        |
| Professional and consulting fees                                 | 8,738,686         | 9,418,917         |
| Depreciation of property, plant and equipment (note 9.3)         | 3,790,872         | 4,078,102         |
| Board and committees' expenses, rewards and allowances (note 37) | 4,753,000         | 3,063,959         |
| Fuel and power                                                   | 694,000           | 621,663           |
| Material and supplies                                            | 294,467           | 562,911           |
| Amortization of intangible assets (note 11.2)                    | 1,013,748         | 563,339           |
| Depreciation of right-of-use assets (note 10.1)                  | 632,902           | 594,379           |
| Maintenance                                                      | 182,344           | 392,891           |
| Short-term lease rentals                                         | 36,645            | 54,018            |
|                                                                  | <b>74,969,451</b> | <b>81,875,909</b> |

### 31. SELLING AND DISTRIBUTION EXPENSES

Selling and distribution expenses comprise the following:

|                                                          | 2025              | 2024              |
|----------------------------------------------------------|-------------------|-------------------|
| Advertising and marketing                                | 13,619,639        | 18,072,266        |
| Salaries and other benefits                              | 24,416,395        | 20,775,636        |
| Transportation and distribution                          | 25,123,331        | 13,644,256        |
| Other expenses                                           | 2,751,429         | 1,149,130         |
| Depreciation of property, plant and equipment (note 9.3) | 1,202,679         | 1,230,950         |
| Short-term lease rentals                                 | --                | 101,982           |
| Fuel and power                                           | 440,212           | 434,133           |
| Material and supplies                                    | 113,196           | 25,010            |
| Depreciation of right-of-use assets (note 10.1)          | 50,322            | 49,190            |
| Amortization of intangible assets (note 11.2)            | 105,556           | 82,549            |
|                                                          | <b>67,822,759</b> | <b>55,565,102</b> |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷻ, unless otherwise specified)

### 32. FINANCE COSTS

Finance costs comprise the following:

|                                                                 | 2025              | 2024              |
|-----------------------------------------------------------------|-------------------|-------------------|
| Interest on loans                                               | 51,764,710        | 73,070,444        |
| Finance cost on lease liabilities                               | 13,750,360        | 13,482,184        |
| Amortisation of loan transaction cost                           | 8,493,046         | 3,777,174         |
| Finance cost on long-term payables                              | 2,172,757         | 2,773,724         |
| Finance cost on employees' defined benefit obligations          | 584,000           | 461,000           |
| Ineffective portion of changes in fair value of cash flow hedge | --                | (90)              |
| Amortisation of cost of hedging (note 12)                       | 4,779,950         | 2,756,736         |
|                                                                 | <b>81,544,823</b> | <b>96,321,172</b> |

### 33. INTEREST INCOME

|                                                      | 2025              | 2024              |
|------------------------------------------------------|-------------------|-------------------|
| Interest income on cash flow hedge (Profit rate cap) | 22,041,942        | 28,927,427        |
| Interest income on bank deposits                     | 2,774,294         | 5,826,799         |
|                                                      | <b>24,816,236</b> | <b>34,754,226</b> |

### 34. ZAKAT

#### 34.1 Components of Zakat base

The significant components of the Zakat base of the Group under zakat regulations are as follows:

|                                            | 31 December<br>2025 | 31 December<br>2024 |
|--------------------------------------------|---------------------|---------------------|
| Equity at the beginning of the year        | 945,048,823         | 892,136,862         |
| Opening allowances and other adjustments   | --                  | (509,130)           |
| Book value of long-term assets             | 2,258,038,652       | 2,169,183,354       |
| Zakat base excluding the zakat able income | (1,048,991,054)     | (168,892,763)       |
| Zakat able income for the year             | 270,622,511         | 237,888,753         |
| <b>Adjusted zakat base for the year</b>    | <b>270,622,511</b>  | <b>237,888,753</b>  |

#### 34.2 Movement in provision for Zakat during the year is as follows:

|                                           | 31 December<br>2025 | 31 December<br>2024 |
|-------------------------------------------|---------------------|---------------------|
| At the beginning of the year              | 5,936,643           | 6,654,883           |
| Charged during the year                   | 6,978,402           | 6,144,269           |
| Acquisition through business combinations | 191,347             | --                  |
| Paid during the year                      | (6,172,426)         | (6,862,509)         |
| <b>At end of the year</b>                 | <b>6,933,966</b>    | <b>5,936,643</b>    |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### 34.3 Zakat Status

The Parent Company has filed its Zakat returns for the years up to 31 December 2024. Zakat assessments for the years up to 31 December 2023 have been finalised with no additional liabilities.

During the year, ZATCA issued an initial assessment for the year ended 31 December 2024, resulting in additional Zakat of ﷲ 0.35 million and withholding tax (WHT) of ﷲ 0.16 million. The Group has settled the WHT of ﷲ 0.16 million, while the Zakat assessment remains under review.

## 35. CAPITAL COMMITMENTS AND CONTINGENCIES

### 35.1 Contingencies

- The Parent Company has provided bank guarantees, issued by Banque Saudi Fransi, amounting to ﷲ 2,232,315 in favour of GFSA for lease of silos in Jeddah, Qassim and Al-Ahsa. These guarantees are valid up to 31 December 2041 (corresponding to 7 Muharram 1464H).
- The Parent Company has provided bank guarantees, issued by Banque Saudi Fransi, amounting to ﷲ 329,494 in favour of GFSA for lease of lands in Qassim, Tabuk and Al-Ahsa. These guarantees are valid up to 22 June 2026 (corresponding to 7 Muharram 1448H).
- The Parent Company has provided bank guarantees, issued by Saudi Awwal Bank, amounting to ﷲ 69,400,000 in favour of SIDF as a condition precedent for the proposed loan. These guarantees are valid up to 18 June 2026 (corresponding to 3 Muharram 1448H).
- The Parent Company has provided bank guarantees, issued by Saudi Awwal Bank, amounting to ﷲ 329,494 in favor of GFSA for lease of lands in Qassim, Tabuk and Al-Ahsa. These guarantees are valid up to 22 June 2026 (corresponding to 7 Muharram 1448H).

### 35.2 Commitments

The following LCs are outstanding as at 31 December 2025:

- Import LC amounting to ﷲ 60,451,599 (CHF 12,750,543) with an outstanding amount of ﷲ 54,511,430 (CHF 11,497,634) in favour of Buhler AG for supply of machines and equipment for five projects in Jeddah. The LC will remain valid till 28 February 2028 (corresponding to 3 Shawwal 1449H).
- Import LC amounting to ﷲ 62,371,664 (CHF 13,155,526) and fully outstanding balance in favour of Buhler AG for upgrade of Mill A and Mill B. The LC will remain valid till 16 August 2031 (corresponding to 17 Rabi Al-Akhar 1453H).
- Import LC amounting to ﷲ 2,147,012 (CHF 452,851) with an outstanding amount of ﷲ 214,696 (CHF 45,284) in favour of Buhler + Scherler AG for purchase of supply of electrical cables with accessories for (Mill C and Pesa Mill) in Jeddah. The LC will remain valid till 21 March 2026 (corresponding to 2 Shawwal 1447H).

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

## 36. EARNINGS PER SHARE

### 36.1 Basic earnings per share

The calculation of basic earnings per share has been based on the distributable earnings attributable to shareholders of ordinary shares and the weighted average number of ordinary shares outstanding at the date of the consolidated financial statements.

|                                                          | 2025        | 2024        |
|----------------------------------------------------------|-------------|-------------|
| Profit attributable to the owners of the Company         | 277,443,269 | 250,901,722 |
| Weighted average number of ordinary shares for basic EPS | 55,500,000  | 55,440,325  |
| Earnings per share – basic                               | 4.99        | 4.53        |

### 36.2 Diluted earnings per share

The calculation of diluted earnings per share has been based on the earnings attributable to shareholders of ordinary shares and the weighted-average number of ordinary shares outstanding after adjustment for the effects of all dilutive potential ordinary shares if any. The diluted earnings per share is adjusted with the impact of the employees' share based payments plan.

|                                                            | 2025        | 2024        |
|------------------------------------------------------------|-------------|-------------|
| Profit attributable to the owners of the Company           | 277,443,269 | 250,901,722 |
| Weighted average number of ordinary shares for diluted EPS | 55,769,666  | 55,724,621  |
| Earnings per share – diluted                               | 4.97        | 4.50        |

## 37. RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent the shareholders with significant influence, key management personnel of the Group, and entities controlled or significantly influenced by such parties. The terms of the transactions with related parties are approved by the Group's management. Transactions with related parties are on the basis of contractual arrangements made with them.

### TRANSACTIONS WITH KEY MANAGEMENT PERSONNEL

For the purposes of the disclosure requirements contained in IAS 24 Disclosures Related to Related Parties, the phrase “key management personnel” (i.e., those persons who have the authority and responsibility to plan, direct and control the activities of the Group) refers to the board of directors, chief executive officer and other executives of the Group.

The compensation of the senior management personnel includes salaries and other benefits. The amounts disclosed in the table represent the amounts recognised as an expense during the financial year in respect of key management personnel.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

Compensation of key management personnel of the Group for the year ended 31 December:

|                                                            | 2025              | 2024              |
|------------------------------------------------------------|-------------------|-------------------|
| Short-term employee benefits                               | 12,564,165        | 11,837,835        |
| Post-employment benefits                                   | 1,090,223         | 797,557           |
| Share-based payments                                       | 4,003,295         | 3,815,038         |
| <b>Total compensation paid to key management personnel</b> | <b>17,657,683</b> | <b>16,450,430</b> |

Short term employee benefits include ﷲ 4.75 million (31 December 2024: ﷲ 3.06 million) board and committees’ fees, rewards and allowances.

OTHER RELATED PARTY TRANSACTIONS

Transactions with related parties arise mainly from services provided/received and payments made on behalf of each other and are undertaken at mutually agreed terms. Due to related parties are the balances payable on demand, interest free and unsecured.

The aggregate value of related parties’ transactions and outstanding balances including those related to key management personnel, and entities over which they have control or significant influence are as follows:

| Name                                          | Relationship | Nature of transactions                     | Amount of transactions |         | Closing balance |       |
|-----------------------------------------------|--------------|--------------------------------------------|------------------------|---------|-----------------|-------|
|                                               |              |                                            | 2025                   | 2024    | 2025            | 2024  |
| Due to related parties                        |              |                                            |                        |         |                 |       |
| Al Mutlaq Group Industrial Investment Company | Shareholder  | Expenses incurred on behalf of the Company | 82,734                 | 446,619 | 85,868          | 3,134 |
|                                               |              |                                            |                        |         | 85,868          | 3,134 |

38. FINANCIAL INSTRUMENTS

Set out below is an overview of financial assets held by the Group:

|                                            | 31 December 2025   | 31 December 2024   |
|--------------------------------------------|--------------------|--------------------|
| <b>Financial assets at amortised cost:</b> |                    |                    |
| Bank balances and short-term deposits      | 93,129,887         | 192,540,441        |
| Trade receivables                          | 40,319,907         | 18,562,782         |
| Margins against letter of guarantees       | 2,561,809          | 2,561,809          |
| Other current financial assets             | 5,938,948          | 3,483              |
|                                            | <b>141,950,551</b> | <b>213,668,515</b> |

|                                                              | 31 December 2025 | 31 December 2024 |
|--------------------------------------------------------------|------------------|------------------|
| <b>Financial assets at fair value – hedging instruments:</b> |                  |                  |
| Derivative financial instrument                              | 7,928,860        | 27,150,132       |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

Set out below is an overview of financial liabilities held by the Group:

|                                                 | 31 December 2025     | 31 December 2024     |
|-------------------------------------------------|----------------------|----------------------|
| <b>Financial liabilities at amortised cost:</b> |                      |                      |
| Trade and other payables                        | 73,372,341           | 60,133,757           |
| Accrued expenses and other current liabilities  | 14,648,474           | 948,617              |
| Long-term loans                                 | 914,922,196          | 1,027,751,786        |
| Short-term loan                                 | 40,000,000           | --                   |
| Lease liabilities                               | 326,872,245          | 340,191,384          |
| Long-term payables                              | 58,561,096           | 33,132,400           |
| Due to related parties                          | 85,868               | 3,134                |
|                                                 | <b>1,428,462,220</b> | <b>1,462,161,078</b> |

Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Financial instruments comprise of financial assets and financial liabilities. The Group ’s financial assets consist of bank balances and short-term deposits, trade receivables, margins against letter of guarantees, and other current assets. Its financial liabilities consist of trade and other payables, certain accrued expense and other current liabilities, long-term loans, short-term, loan, obligations under finance lease, long-term payables and amounts due to related parties.

The management assessed that fair value of bank balances and short-term deposits, trade receivables, margins against letter of guarantees, other current assets, trade and other payables, certain accrued expense and other current liabilities, long-term loans, short-term loan, obligations under finance lease, long-term payables and amounts due to related parties approximate their carrying amounts, largely due to the short-term maturities of these instruments except for the long-term loans which carries floating rate based on the market terms.

All financial instruments for which fair value is recognised or disclosed are categorised within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement as a whole, as follows:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; or
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

For assets and liabilities that are recognised at fair value on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

| 31 December 2025                |         |           |         |           |
|---------------------------------|---------|-----------|---------|-----------|
|                                 | Level 1 | Level 2   | Level 3 | Total     |
| <b>Financial asset</b>          |         |           |         |           |
| Derivative Financial Instrument | --      | 7,928,860 | --      | 7,928,860 |

| 31 December 2024                |         |            |         |            |
|---------------------------------|---------|------------|---------|------------|
|                                 | Level 1 | Level 2    | Level 3 | Total      |
| <b>Financial asset</b>          |         |            |         |            |
| Derivative Financial Instrument | --      | 27,150,132 | --      | 27,150,132 |

Derivative financial instrument has been valued using the present value technique under income approach as per IFRS 13. The fair value of the hedge instrument has been calculated as the present value of the intrinsic value that has been treated based on the difference between implied SAIBOR 3-months curve and cap rate as at 31st December in order to reflect the market conditions as at the date.

There were no transfers between levels of fair value measurements in 2025 and 2024. No transfers between any levels of the fair value hierarchy took place in the equivalent comparative period.

### FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The main purpose of the Group 's financial instruments is to raise finances for the Group 's operations.

The Group 's activities expose it to a variety of financial risks that include credit risk, liquidity risk, and market risk. These financial risks are actively managed by the Group 's Finance Department under strict policies and guidelines approved by the Board of Directors. The Group 's Finance Department actively monitors market conditions minimising the volatility of the funding costs of the Group.

There were no changes in the policies for managing these risks.

#### Credit risk

Credit risk is the risk that one party will fail to discharge an obligation and will cause the other party to incur a financial loss. The Group 's exposure to credit risk is influenced mainly by the individual characteristics of each customer which the Group seeks to manage its credit risk with respect to customers by setting credit limits for individual customers and by monitoring outstanding receivables. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customers operate. Owing to nature of the Group's business, significant portion of revenue is collected in cash due to which the Group is not significantly exposed to credit risks.

#### Excessive risk concentration:

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

Concentrations indicate the relative sensitivity of the Group's performance to developments affecting a particular industry. In order to avoid excessive concentrations of risk, the Group's policies and procedures include specific guidelines to focus on the maintenance of a diversified portfolio. Identified concentrations of credit risks are controlled and managed accordingly.

The Group is exposed to credit risk on its bank balances and short-term deposits, trade receivables, margins against letter of guarantees and other current financial assets as follows:

|                                            | 31 December 2025   | 31 December 2024   |
|--------------------------------------------|--------------------|--------------------|
| <b>Financial assets at amortised cost:</b> |                    |                    |
| Bank balances and short-term deposits      | 93,129,887         | 192,540,441        |
| Trade receivables                          | 40,319,907         | 18,562,782         |
| Margins against letter of guarantees       | 2,561,809          | 2,561,809          |
| Other current financial assets             | 5,938,948          | 3,483              |
|                                            | <b>141,950,551</b> | <b>213,668,515</b> |

The carrying amount of financial assets represent the maximum credit exposure. Credit risk on balances with banks, short-term deposits and margins against letter of guarantees is limited as:

Cash balances, short-term deposits and margins are held with banks with sound credit ratings as below:

| Banks                   | Rating     |           | Rating agency | Nature of financial asset | 31 December 2025  | 31 December 2024   |
|-------------------------|------------|-----------|---------------|---------------------------|-------------------|--------------------|
|                         | Short-term | Long-term |               |                           |                   |                    |
| Gulf International Bank | P-1        | A-2       | Moody's       | Cash balance              | 5,732,730         | 6,340,978          |
| Banque Saudi Fransi     | P-1        | A-1       | Moody's       | Cash balance              | 10,204,373        | 10,259,865         |
|                         |            |           |               | Margins against LGs       | 2,561,809         | 2,561,809          |
| Alinma Bank             | P-1        | A-2       | Moody's       | Cash balance              | 43,180,199        | 44,035,967         |
|                         |            |           |               | Short-term deposit        | --                | 127,000,000        |
| Saudi National Bank     | P-1        | Aa-3      | Moody's       | Cash balance              | 761,662           | 4,903,631          |
| Saudi Awwal Bank        | P-1        | A-1       | Moody's       | Cash balance              | 18,353,166        | --                 |
| Al Rajhi Bank           | P-1        | Aa-3      | Moody's       | Cash balance              | 14,897,757        | --                 |
|                         |            |           |               |                           | <b>95,691,696</b> | <b>195,102,250</b> |

Ratings of Prime-1 (P-1) reflect a superior ability to repay short-term obligations (Aaa – A3).

Ratings of Prime-2 (P-2) reflect a strong ability to repay short-term obligations (A2 – Baa2).

#### Expected credit losses:

The Group considers that its cash and cash equivalents and margins against letter of guarantees have low credit risk based on the external credit ratings (long-term) of the respective counterparties.



THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### Trade receivables

The Group ‘s exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customers operate.

The Group manages its exposure to credit risk from trade receivables by largely operating under advance payment or cash-based arrangements with customers. In most cases, payment is received prior to the delivery of goods, which significantly reduces the level of outstanding receivables. While a portion of sales is conducted on credit terms, management monitors receivable balances closely and applies established credit controls to mitigate the related credit risk.

### Expected credit loss assessment for accounts and other receivables

As per IFRS 9, the simplified approach is used to measure expected credit losses which uses a lifetime expected loss allowance for all financial assets measured at amortised cost and contract assets.

The expected loss rates are based on the payment profiles of receivables over a suitable period and corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified GDP of Kingdom of Saudi Arabia (the country in which it renders the services) to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

The Group assessed the concentration of risk with respect to trade receivables and concluded it to be low.

The following table provides information about the exposure to credit risk and ECLs for trade receivables as at 31 December 2025.

| Trade receivables       | Loss rate | Gross carrying amount | Loss allowance | Credit-impaired |
|-------------------------|-----------|-----------------------|----------------|-----------------|
| Current (not past due)  | 0.41%     | 36,210,590            | 148,289        | No              |
| 0 – 90 days past due    | 1.10%     | 4,090,032             | 45,764         | No              |
| 91 – 180 days past due  | 4.87%     | 41,040                | 2,000          | No              |
| 181 – 360 days past due | 23.43%    | 317,467               | 74,394         | Yes             |

The following table provides information about the exposure to credit risk and ECLs for trade receivables as at 31 December 2024.

| Trade receivables           | Loss rate | Gross carrying amount | Loss allowance | Credit-impaired |
|-----------------------------|-----------|-----------------------|----------------|-----------------|
| Current (not past due)      | 0.61%     | 16,031,020            | 97,680         | No              |
| 0 – 90 days past due        | 2.83%     | 2,251,980             | 63,621         | No              |
| 91 – 180 days past due      | 7.98%     | 148,403               | 11,846         | No              |
| 181 – 360 days past due     | 20.22%    | 44,988                | 9,099          | Yes             |
| More than 360 days past due | 100.00%   | 213,725               | 213,724        | Yes             |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### Liquidity risk

Liquidity risk is the risk that the Group will be unable to meet its payment obligations as they fall due. The Group seeks to manage its liquidity risk to be able to meet its operating cash flow requirements, finance capital expenditures and service maturing debts. The Group ‘s approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group’s reputation. The Group’s liquidity position is also supported by committed financing facilities and the scheduled maturity profile of its borrowings, which extends beyond one year for the majority of its debt obligations.

The table below summarises the maturities of the Group’s financial liabilities as 31 December 2025 and 31 December 2024 based on contractual payment dates and current market interest rates as following.

### 31 December 2025

| Non derivative financial liabilities           | Carrying amounts     | Contractual amounts |                    |                    | Total contractual amounts |
|------------------------------------------------|----------------------|---------------------|--------------------|--------------------|---------------------------|
|                                                |                      | 1 year or less      | 1 to 5 years       | More than 5 years  |                           |
| Trade and other payables                       | 73,372,341           | 73,372,341          | --                 | --                 | 73,372,341                |
| Accrued expenses and other current liabilities | 14,648,474           | 14,648,474          | --                 | --                 | 14,648,474                |
| Long-term loans                                | 914,922,196          | 216,709,249         | 579,997,430        | 438,693,357        | 1,235,400,036             |
| Short-term loan                                | 40,000,000           | 40,206,950          | --                 | --                 | 40,206,950                |
| Lease liabilities                              | 326,872,245          | 25,008,585          | 98,344,983         | 344,534,419        | 467,887,987               |
| Long-term payables                             | 58,561,096           | 18,326,041          | 46,269,507         | --                 | 64,595,548                |
| Due to related parties                         | 85,868               | 85,868              | --                 | --                 | 85,868                    |
|                                                | <b>1,428,462,220</b> | <b>388,357,508</b>  | <b>724,611,920</b> | <b>783,227,776</b> | <b>1,896,197,204</b>      |

### 31 December 2024

| Non derivative financial liabilities           | Carrying amounts     | Contractual amounts |                    |                    | Total contractual amounts |
|------------------------------------------------|----------------------|---------------------|--------------------|--------------------|---------------------------|
|                                                |                      | 1 year or less      | 1 to 5 years       | More than 5 years  |                           |
| Trade and other payables                       | 60,133,757           | 60,133,757          | --                 | --                 | 60,133,757                |
| Accrued expenses and other current liabilities | 948,617              | 948,617             | --                 | --                 | 948,617                   |
| Long-term loans                                | 1,027,751,786        | 224,604,722         | 610,145,311        | 558,892,360        | 1,393,642,393             |
| Lease liabilities                              | 340,191,384          | 25,011,275          | 97,455,359         | 364,474,695        | 486,941,329               |
| Long-term payable                              | 33,132,400           | 10,813,862          | 27,034,655         | --                 | 37,848,517                |
| Due to related parties                         | 3,134                | 3,134               | --                 | --                 | 3,134                     |
|                                                | <b>1,462,161,078</b> | <b>321,515,367</b>  | <b>734,635,325</b> | <b>923,367,055</b> | <b>1,979,517,747</b>      |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### Market risk

Market risk is the risk that changes in market prices - such as foreign exchange rates, interest rates and equity prices - will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the return. Market risk is the risk that the fair value or the future cash flows of a financial instrument may fluctuate as a result of changes in market profit rates or the market prices of securities due to change in credit rating of the issuer or the instrument, change in market sentiments, speculative activities, supply and demand of securities and liquidity in the market.

Market risk comprises of three types of risk: foreign currency risk, interest rate risk and other price risks.

### Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Group 's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when revenue or expense is denominated in a foreign currency). However, as the Group primarily deals in USD, CHF and EURO, with CHF and EURO being immaterial and the majority being in USD, which is pegged with ﷲ, the Group's exposure to foreign currency risk is immaterial. No sensitivity for foreign currency risk is presented due to its minimal effect on the consolidated financial statements.

### Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group 's exposure to the risk of changes in market interest rates relates primarily to the Group 's long-term debt obligations with floating interest rates.

The Group manages its interest rate risk by entering into hedging contracts for its floating rate long-term loans. The Group hedges long term interest rate sensitivities through hedge strategies, including use of derivative financial instrument and regularly monitors market special commission rates. The Group does not account for any fixed special commission rate bearing financial assets or financial liabilities at fair value and therefore, a change in special commission rates at the reporting date would not have any effect on the financial statements relating to these financial instruments. The Group continuously monitors benchmark rate developments and assesses the cost-benefit of further hedging strategies in light of its financing structure and market expectations.

### Sensitivity analysis

A reasonably possible change of 100 basis points in interest rates at the reporting date would have increased (decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

#### Floating rate financial liabilities

|                  | Impact on profit or loss |                  |
|------------------|--------------------------|------------------|
|                  | 31 December 2025         | 31 December 2024 |
| 100 bps increase | 9,546,546                | 10,106,379       |
| 100 bps decrease | (9,546,546)              | (10,106,379)     |

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

## Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

### Financial derivatives

|                  | Impact on net equity |                  |
|------------------|----------------------|------------------|
|                  | 31 December 2025     | 31 December 2024 |
| 100 bps increase | 1,428,299            | 6,850,000        |
| 100 bps decrease | (1,442,752)          | (7,011,000)      |

### Capital Risk Management

For the purpose of the Group's management, capital includes issued share capital, and all other equity reserves attributable to the equity holders. The primary objective of the Group's capital management is to maximize the shareholders' value.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions. The Group monitors capital using a gearing ratio, which is 'net debt' divided by total capital plus net debt. The Group includes within net debt, loans and borrowings, lease liabilities, long-term payables, employees' defined benefit obligations, zakat payable, less cash and cash equivalents. The gearing ratio as at 31 December 2025 and 31 December 2024 is as follows:

|                                        | 31 December 2025     | 31 December 2024     |
|----------------------------------------|----------------------|----------------------|
| Loans and borrowings                   | 940,751,376          | 1,010,637,919        |
| Lease liabilities                      | 326,872,245          | 340,191,384          |
| Long-term payables                     | 58,561,096           | 33,132,400           |
| Employees' defined benefit obligations | 7,989,291            | 8,674,000            |
| Zakat payable                          | 6,933,966            | 5,936,643            |
| Less: Cash and cash equivalents        | (93,307,099)         | (189,275,430)        |
| <b>Net debt</b>                        | <b>1,247,800,875</b> | <b>1,209,296,916</b> |
| Share capital                          | 555,000,000          | 555,000,000          |
| Shareholders' contributions            | 6,751,214            | 6,751,214            |
| Statutory reserve                      | 82,823,399           | 82,823,399           |
| Retained earnings                      | 433,311,387          | 333,209,421          |
| <b>Equity</b>                          | <b>1,077,886,000</b> | <b>977,784,034</b>   |
| <b>Capital and net debt</b>            | <b>2,325,686,875</b> | <b>2,187,080,950</b> |
| Gearing ratio                          | 53.65%               | 55.29%               |

## 39. SUBSEQUENT EVENTS

**39.1** Subsequent to the reporting date, the Middle East region has witnessed heightened geopolitical and security developments, resulting in increased uncertainty in certain regional markets. Management has evaluated these developments in accordance with IAS 10, Events after the Reporting Period, and determined that they constitute non-adjusting events, as they relate to conditions that arose after 31 December 2025. Accordingly, no adjustments have been made to the amounts recognized in these financial statements. Based on the information available up to the date of authorization of these financial statements, management has not identified any impact from these developments that would affect the Group's ability to continue its operations. However, due to evolving nature of the geopolitical developments, the management continues to monitor the situation and will assess the need for any future actions, as appropriate.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

# Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

**39.2** On 08 March 2026 (corresponding to 19 Ramadan 1447H), and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 24 June 2025 (corresponding to 28 Dhul Hijjah 1446H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2025, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the last six months of 2025 ended on 31 December 2025 (corresponding to 11 Rajab 1447H), with a total amount of ﷲ 92,184,000 at ﷲ 1.67 per share of the nominal capital. The distribution date will be on 20 April 2026 (corresponding to 3 Dhul Qadah 1447H).

**39.3** No other matter has occurred up to and including the date of the approval of these consolidated financial statements by the Board of Directors which could materially affect these consolidated financial statements and the related disclosures for the year ended 31 December 2025.

## 40. APPROVAL OF THE CONSOLIDATED FINANCIAL STATEMENTS

These consolidated financial statements were approved and authorised for issuance by the Group’s Board of Directors on 09 March 2026 (corresponding to 20 Ramadan 1447H).



**Tariq Mutlaq Abdullah AlMutlaq**  
Chairman



**Abdullah Abdul-Aziz Abdullah Ababtain**  
CEO



**Alaaeldin Mohammed Shousha**  
CFO